

Hong Kong Residential Property

Home prices already hit our full-year target; momentum may slow in 2H

Year-to-date, the secondary home price index has rebounded 10.4% (or +17.9% from the trough), which is stronger than expected and has already reached our full-year forecast of 10-15% for 2026. **While we maintain this forecast, this implies home price growth may slow to <5% in 2H26.** While the two key overhangs ([capital outflow control](#) & [rate hike concerns](#)) have been well discussed, **we believe the biggest downside risk is actually a prolonged weakness of the HK stock market**, which has historically shown a strong correlation to HK home prices (typically with a 3-6 month lag). Fortunately, other sector fundamentals (e.g. inventory, rental growth, population) are still intact, and thus **for now we forecast slower home price growth but the upcycle will still continue.** However, if the Hang Seng Index stays weak for an extended period, home prices could come under pressure. In the near term, we stay defensive on our stock picks and prefer **CKA & Sino**, while **NWD/Henderson** may underperform. For **SHKP**, on dips we'd accumulate the stock, although its year-to-date outperformance (+21% vs. HSI -7%) leaves it vulnerable to near-term profit-taking.

- **High-frequency data is turning more mixed:** While the weekly secondary home price index has remained solid (up another 1.0% over the past 4 weeks) (Figure 1), the index has a 3-week lag, and thus the impact of the recent stock market weakness & rate hike concerns has not yet been factored in. For sales volume (primary & secondary combined), May is also tracking a strong 40% Y/Y 12-month rolling growth (Figure 2). However, over the past month, some high-frequency data has shown signs of cooling down (except for weekend viewing appointments): (1) **primary sell-through rates** (Table 1): slowing down to 64% (from >70%), although this is partially because of developers' aggressive pricing (average 23% premium to secondary) as many now prioritize margin over velocity; (2) **35-estate secondary sales volume** (Figure 3): down to <60 units for two consecutive weeks (although partially affected by adverse weather); (3) **15-estate weekend viewing appointments** (Figure 4): interestingly, this leading indicator has turned even stronger in the past 3 weeks (>570, the strongest year-to-date). This shows that **homebuyers' interest is still intact, but with the weaker stock market & rate hike narrative, many have shifted into a wait-and-see mode.**
- **A recap of the two existing overhangs:** Over the past month, the two most well-discussed overhangs have been (1) potential tightening of capital outflow controls and (2) rising expectations of a rate hike. In our view, while these two headwinds are directionally negative, they alone may not derail the upcycle if other factors remain intact. For **capital outflow control from Mainland China**, first of all, real estate is not explicitly mentioned in Document 837, and FX

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}

(852) 2800-8513

karl.chan@jpmorgan.com

Venus Choi

(852) 2800-8599

venus.choi@jpmorgan.com

Jocelyn Gao

(852) 2800-8529

jocelyn.gao@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev End Date	
Sun Hung Kai Properties (0016)	16 HK	42,004	HKD	113.60	OW	n/c	140.00	Dec-26	162.00	n/c
CK Asset Holdings Ltd (1113)	1113 HK	19,971	HKD	44.72	OW	n/c	52.00	Dec-26	n/c	n/c
Henderson Land Development (0012)	12 HK	15,839	HKD	25.64	N	n/c	27.00	Dec-26	30.00	n/c
Sino Land (0083)	83 HK	12,978	HKD	10.61	OW	n/c	12.50	Dec-26	14.50	n/c
New World Development (0017)	17 HK	2,280	HKD	7.10	N	n/c	6.80	Dec-26	8.00	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 22 Jun 26.

See page 41 for analyst certification and important disclosures, including non-US analyst disclosures.

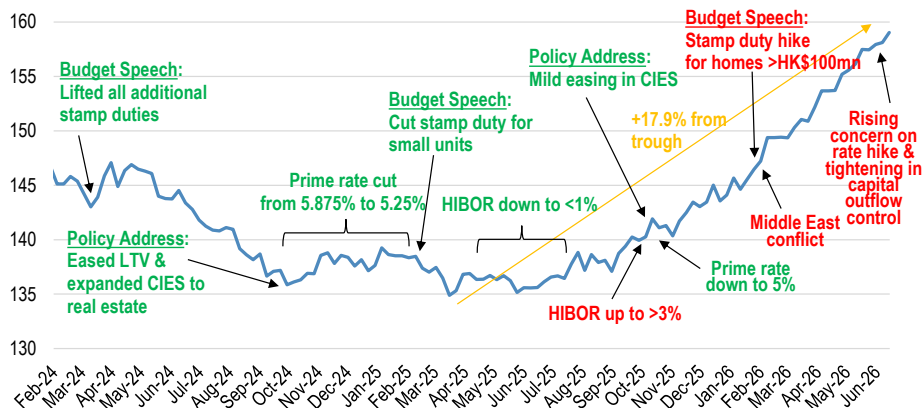
remittance to HK (including the US\$50K annual quota) for the purpose of homebuying has never been (and is unlikely to be) allowed. However, if the source of funding is offshore, Mainland Chinese are not banned from buying properties in HK. However, another concern is the potential for more stringent checks on Mainland Chinese tax residents' offshore assets (e.g. HK Property), which are taxable (20% for rental income/capital gains). We estimate 5-10% of transactions (or 10-15% by value) are from non-HK-based Mainland Chinese (more discussion in our earlier reports [Takeaways from call with legal expert](#) & [Implications of Regulations on Outbound Investment](#)). For **rate hikes**, first of all, J.P. Morgan maintains the view of "no rate hike" in 2026, but if the US Fed Funds Rate is raised, the HK prime rate will likely follow (Figure 8), and thus mortgage rates will be higher (current mortgage rate 3.25% vs. net rental yield 2.9%, although some banks offer fixed rate of 2.73%, while banks also typically offer 0.5-1.5% cash rebates on top). However, historically a rate hike has not necessarily translated into housing market weakness (e.g. 2004-06, 16-18) if other factors are intact (more in our report [What if there is a rate hike?](#)). That said, higher rates may still weigh on developers' financing costs, and we expect NWD & Henderson to see higher earnings sensitivity (Figure 10). For more, please see our report [After one overhang, here comes another one](#).

- **Our bigger concern is a prolonged weakness in the stock market:** Instead of the above two overhangs, we are actually more concerned about a prolonged weakness in the Hang Seng Index, which has traditionally been a key leading indicator to HK home prices by a 3-6 month lag (Figure 6). From the peak in January, the HSI has dropped 15% so far, and although we are not yet in a financial crisis, if the weakness continues for another 3-6 months, we believe this will still weigh on the housing market sentiment.
- **What drives home prices?** Out of all key home price drivers (Figure 5), **inventory has seen the strongest correlation** (Figure 18), followed by the Hang Seng Index. Fortunately, inventory is currently at an optimal level, and thus is not a huge near-term concern. In the primary market, as of 1Q26 unsold inventory amounted to 16.7K units, implying 9 months of inventory (Figure 16). Meanwhile, the past 12 months saw total primary sales of 23.9K units. Even if we assume annual sales will drop 20%, the implied inventory months would be ~10.5 months (which is manageable). In the secondary market, based on for-sale listings (29.2K units) on Centaline (Figure 17), the implied inventory is only 7 months (based on 12-month rolling sales of 49K units). Even if we assume annual transactions will drop 20%, the implied inventory would still be <9 months. Other supportive factors, including **population growth** (Figure 18), **rental growth** (Figure 19) & a **low vacancy rate** (<5%), are also intact, at least for now.
- **How is the sector trading now?** HK Property has corrected 18% from the peak in May (HSI: -9%), and is now trading at 50% NAV discount (1 s.d. below historical average - Figure 22) or 4.7% dividend yield (1 s.d. above historical average - Figure 28). Therefore, we believe the current valuations have mostly priced in the first two overhangs. However, to factor in the uncertainties, we have cut our price targets by 10% on average (Table 3). Our stock picking also has a defensive bias, and we prefer developers with net cash (or soon-to-be net cash) including **CKA & Sino**. We also like **SHKP** but the stock remains an obvious outperformer year-to-date (+21%) and might be vulnerable to near-term profit-taking. For now, we expect the potential downside for SHKP could be ~HK\$105 if NAV discount derates to 1 s.d. below mean, but we'd accumulate on dips. Names with higher leverage (**NWD**, **Henderson**) may underperform in the near term, although for NWD a near-term upside risk is the potential resolution for 11 SKIES (or more liquidity support from the parent company).
- **What might drive outperformance again?** (1) Sustainable rebound of the Hang Seng Index; (2) lower expectations of a rate hike (rate pause is tolerable); (3) lower HIBOR; (4) proof of solid sales/home price momentum despite potentially fewer buyers from Mainland China; (5) stronger guidance of DP margin/rental growth in the results season (August/September).

High-frequency data is turning easing in CIES

- **Secondary home price index:** rebounded 17.9% from the trough, or 10.4% year-to-date (almost like a straight-line growth).

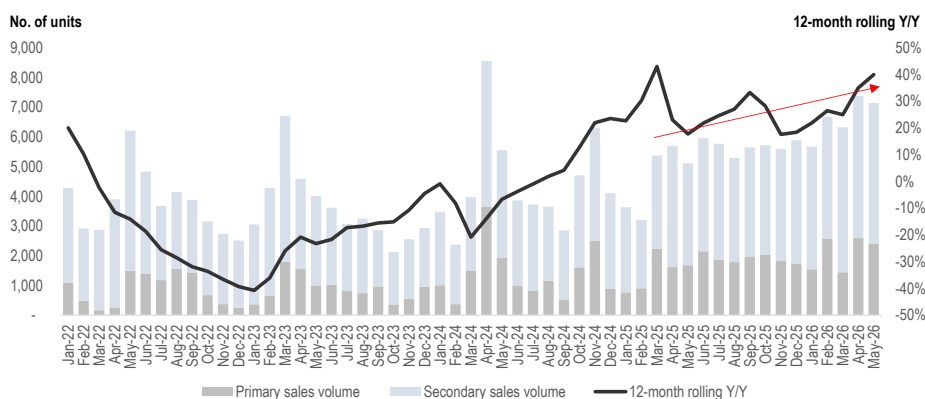
Figure 1: Hong Kong secondary home price index (and major events)



Source: Centaline. Note: the index has a 3-week lag.

- **Transaction volume:** Remained strong year-to-date; the latest 12-month rolling Y/Y growth is tracking 40%.

Figure 2: HK monthly private residential transactions (primary & secondary)



Source: HK Land Registry, CEIC

- **First-day sell-through rates:** Slowed down to 64% over the past month (prior: >70%), although this is partially due to developers' aggressive pricing (23% premium to secondary on average), as developers have prioritized margin over velocity.

Table 1: First-day sell-through rates of primary launches over the past month

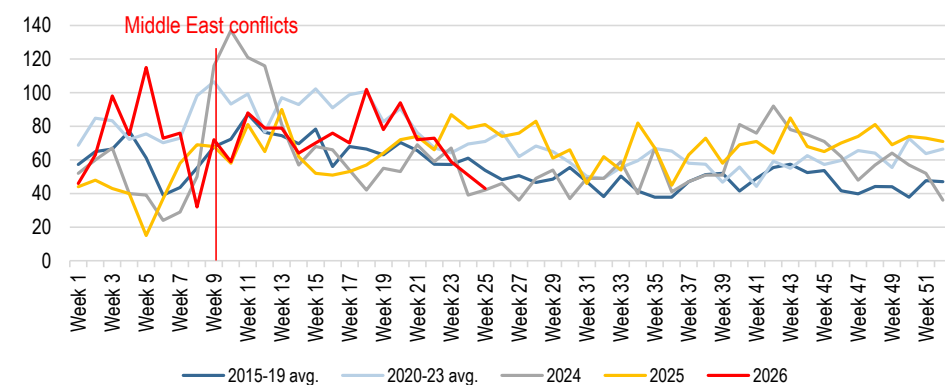
Project	Location	Lead Developer	Launch Date	ASP (HK\$ psf)	Units launched	Units sold	Sell-through	vs. previous phase	vs. secondary prices	
Lime SPARK	形璫	Tsuen Wan	SHKP	23-May-26	18 - 20K	87	87	100%	3%	22%
Highwood Ph5	壹沐2期	To Kwa Wan	Henderson	23-May-26	20 - 27K	35	29	83%	1%	26%
Lime SPARK	形璫	Tsuen Wan	SHKP	30-May-26	18 - 20K	52	52	100%	3%	26%
Highwood Ph6	壹沐2期	To Kwa Wan	Henderson	31-May-26	22 - 27K	23	5	22%	13%	35%
Pavilia Rosa	激蘊	Kowloon Tong	NWD	4-Jun-26	30 - 36K	65	40	62%	-	29%
The Headland Residences	海德園	Chai Wan	Swire Prop	9-Jun-26	16 - 19K	78	41	53%	-1%	15%
Pavilia Rosa	激蘊	Kowloon Tong	NWD	12-Jun-26	30 - 36K	28	16	57%	-	29%
One Victoria Cove Ph4	首岸4期	Hung Hom	Henderson	14-Jun-26	20 - 23K	80	59	74%	-2%	18%
One Victoria Cove Ph4	首岸4期	Hung Hom	Henderson	18-Jun-26	20 - 23K	53	5	9%	-2%	18%
La Montagne Ph4B	海盈山4B期	Wong Chuk Hang	Kerry	18-Jun-26	28 - 32K	75	34	45%	5%	13%
Average						576	368	64%	3%	23%

Source: HKET, HKEJ, Centaline, Midland

Note: 18 June 2026 may be partially affected by adverse weather (black rainstorm warning signal) in Hong Kong.

- **Secondary sales volume:** Among 35 major estates, the weekly volume has dropped to <60 weeks over the past 2 weeks (previously 60-100 units earlier this year), partially due to adverse weather.

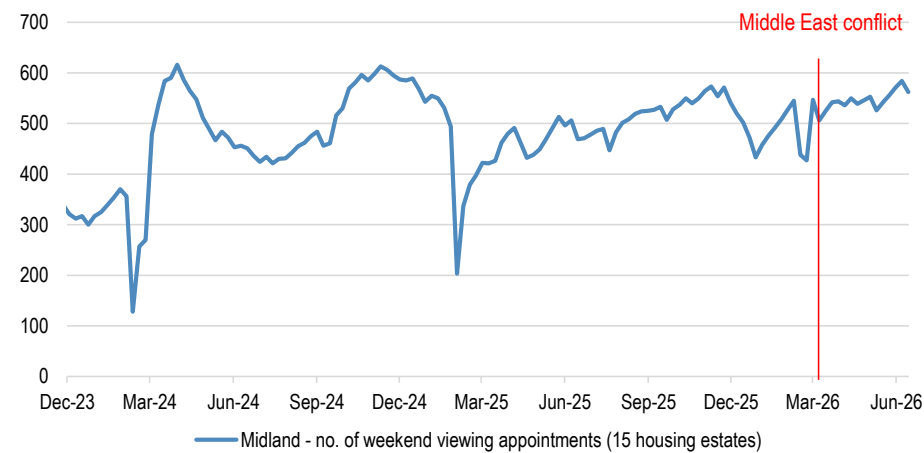
Figure 3: Weekly secondary transactions in 35 major estates



Source: Midland

- **Weekend viewing appointments:** Interestingly, this leading indicator has become mildly stronger over the past few weeks (>570 groups in 15 housing estates). This shows homebuyers' interest is intact, but more may have turned into a "wait-and-see" mode.

Figure 4: Midland weekend appointment volume (15 housing estates)

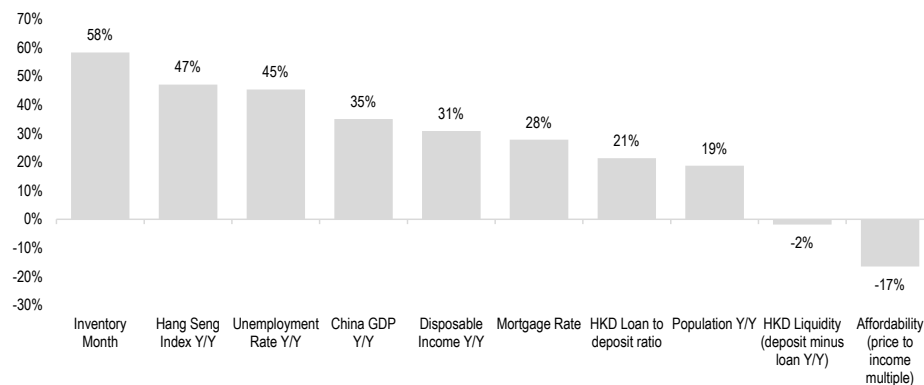


Source: Midland

Home price drivers

Inventory is the strongest home price driver, followed by the Hang Seng Index. The least correlated factor is affordability.

Figure 5: Correlation with HK home prices Y/Y

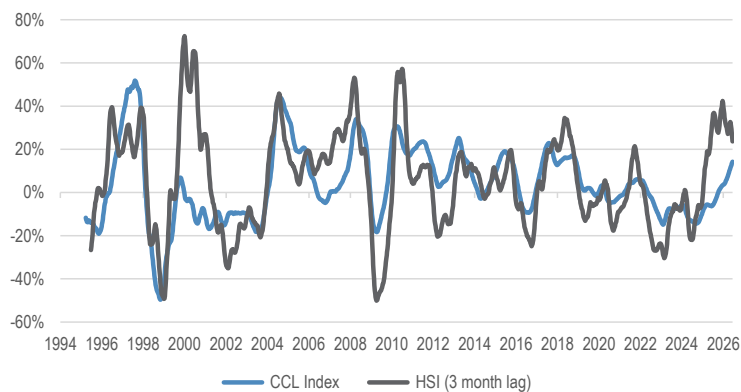


Source: Bloomberg Finance L.P., J.P. Morgan, Centaline, CEIC, HKET, Mingpao, HKMA.

Stock market

- Hang Seng Index has shown a decent correlation to HK home prices.

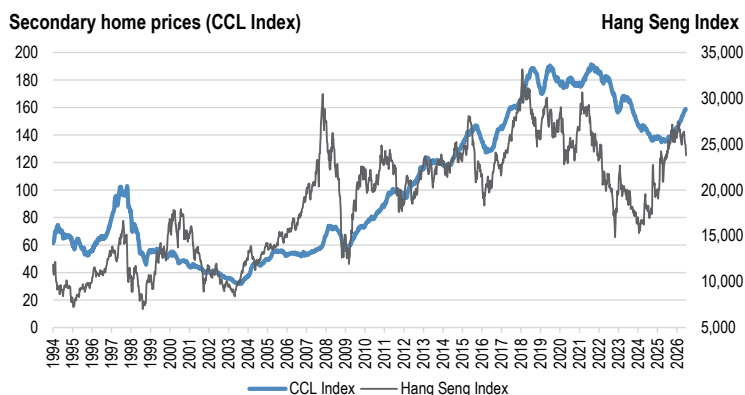
Figure 6: HK Secondary Home Price Index vs. Hang Seng Index (Y/Y change)



Source: Centaline, Bloomberg Finance L.P.

- Typically, HK home prices show a 3-6 month lag to the HK stock market. That said, there are still exceptions where the two may not closely correlate with each other. For example, in 1999-2000, despite a big jump in the Hang Seng Index, home prices did not see a big rebound due to high inventory. In 2011, despite the stock market weakness, HK home prices only dropped very mildly.

Figure 7: HK Secondary Home Price Index vs. Hang Seng Index (absolute)

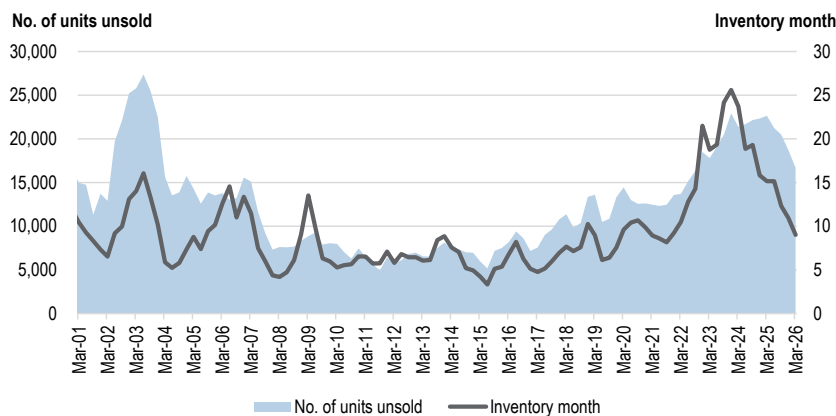


Source: Centaline, Bloomberg Finance L.P.

Inventory

- Unsold inventory amounted to 16-17K units, with an implied inventory month of 9. Typically, home prices grow when inventory is <10 months.

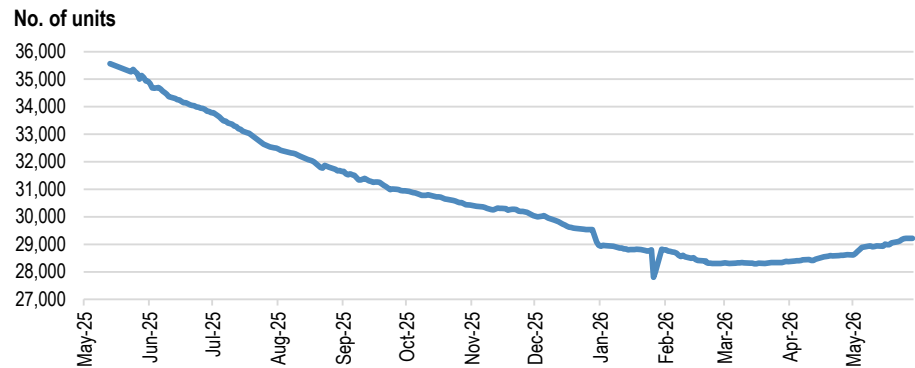
Figure 8: Hong Kong unsold primary private residential properties



Source: HKSAR government, Centaline

- In the secondary market, the implied inventory is 7, based on Centaline's secondary for-sale listings.

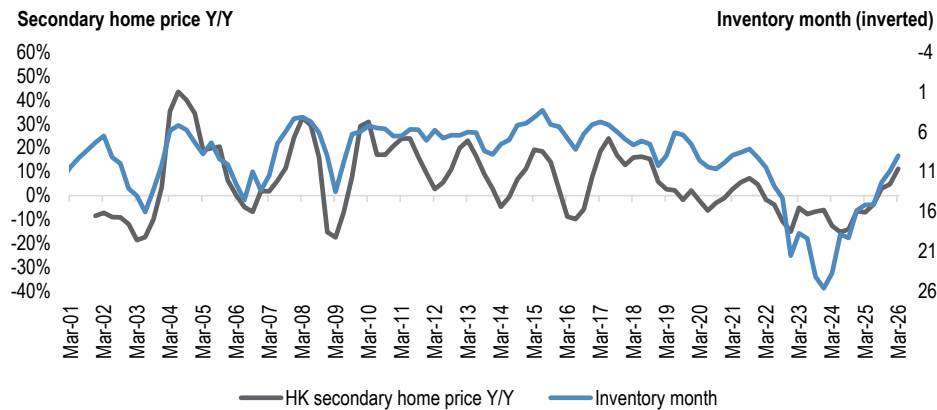
Figure 9: Centaline – No. of secondary listings (for sale)



Source: Similarweb, Centaline, J.P. Morgan.

- Inventory month & home prices have seen a strong correlation.

Figure 10: Secondary home price Y/Y vs inventory month



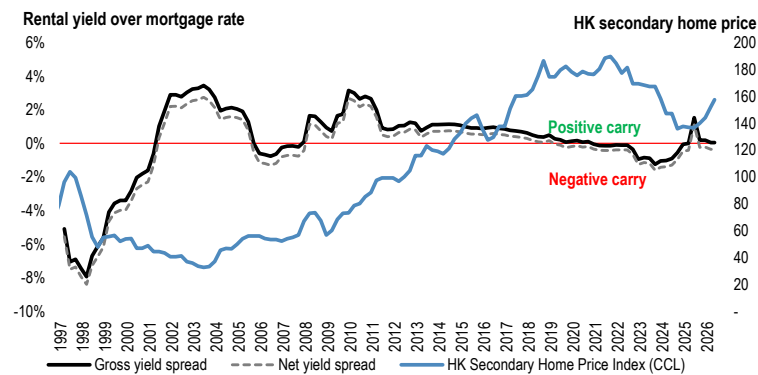
Source: HKSAR government, Centaline

Mortgage rates

Mortgage rate vs. rental yield

- **Carry is broadly neutral (for now):** The latest mortgage rate in HK is 3.25% (prime rate of 5% minus 1.75%), compared to net rental yield of 2.9% (3.2% on gross). However, if we take into account the cash rebates offered by banks (0.5-1.5%), effective mortgage rate is 2.9-3.0% for the 2-year penalty period. In addition, some banks still offer a fixed-rate plan of 2.73%.

Figure 11: HK rental yield over mortgage rate vs. secondary home price



Source: Centaline, HSBC, HKET, J.P. Morgan

Mainland Chinese buyers in HK residential market

- The % of non-local buyers can be gauged by the % of homebuyers who do not hold a HKID. However, the latest data is only available till FY24/25 (i.e. 2Q24 to 1Q25).

Table 2: HK private residential market – % of buyers who are not holders of a Hong Kong Identity Card (HKID)

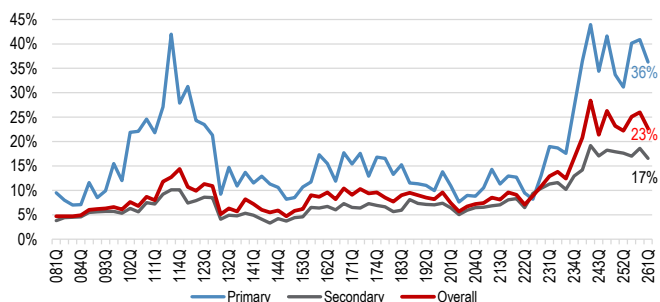
	Individual buyers who are not HKID holders			
	Volume (units) as % of total		Value (HK\$ bn) as % of total	
FY20/21	110	0.1%	1.1	0.2%
FY21/22	153	0.2%	1.6	0.2%
FY22/23	168	0.3%	1.6	0.4%
FY23/24	700	1.6%	6.8	2.0%
FY24/25	2,997	5.5%	31.3	7.2%

Source: HK Inland Revenue Department

Note: FY denotes HK government's fiscal year (year ending 31 March). For example, FY24/25 refers to the period from 2Q24 to 1Q25.

- The % of “Mainland Chinese buyers” widely quoted by property agents is based on homebuyers’ last name with Mandarin pinyin. However, this includes many who currently reside in Hong Kong, as well as a small number of Hong Kong locals who keep a Mandarin last name.

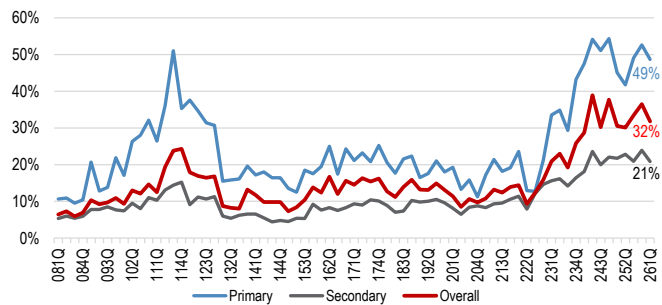
Figure 12: HK private residential market – % of “Mainland Chinese” buyers with a last name in Mandarin pinyin (by volume)



Source: Centaline.

Note: “Mainland Chinese” is defined here using the Mandarin pinyin of the buyer’s last name and does not distinguish the buyer’s current residence or identity. As a result, “Mainland Chinese” who are residing in Hong Kong—as well as local Hong Kong residents with Mandarin-pinyin last names—are also classified as “Mainland Chinese” in this dataset.

Figure 13: HK private residential market – % of “Mainland Chinese” buyers with a last name in Mandarin pinyin (by value)



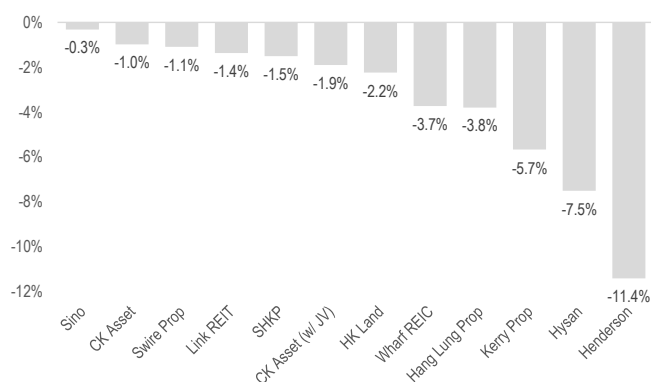
Source: Centaline.
Note: “Mainland Chinese” is defined here using the Mandarin pinyin of the buyer’s last name and does not distinguish the buyer’s current residence or identity. As a result, “Mainland Chinese” who are residing in Hong Kong—as well as local Hong Kong residents with Mandarin-pinyin last names—are also classified as “Mainland Chinese” in this dataset.

Interest rate

- If a US Fed rate hike leads to higher HIBOR, NWD & Henderson will likely be more impacted in terms of earnings sensitivity.
- Meanwhile, Sino & CKA will likely be least impacted.

Interest rate sensitivity

Figure 14: Earnings impact of every 100bps increase in HIBOR (considering % of HKD floating debt)

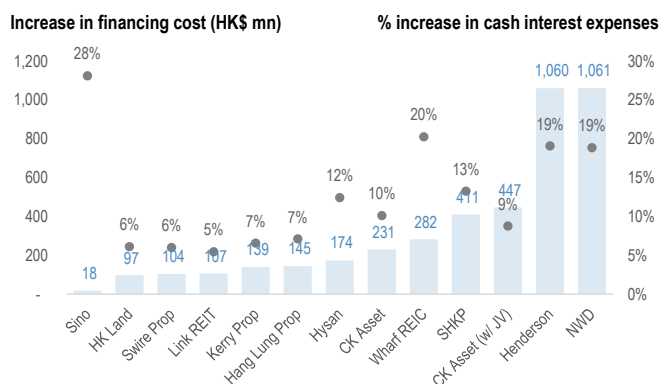


Source: Company data, J.P. Morgan estimates, Bloomberg Finance L.P.

Note:

- The above does not consider the accounting impact of interest capitalization.
- For Kerry Prop & Hysan, 1FYE earnings are consensus estimates per Bloomberg Finance L.P.
- We expect NWD's 1FY earnings to be at a net loss, and thus NWD is not included in this comparison.

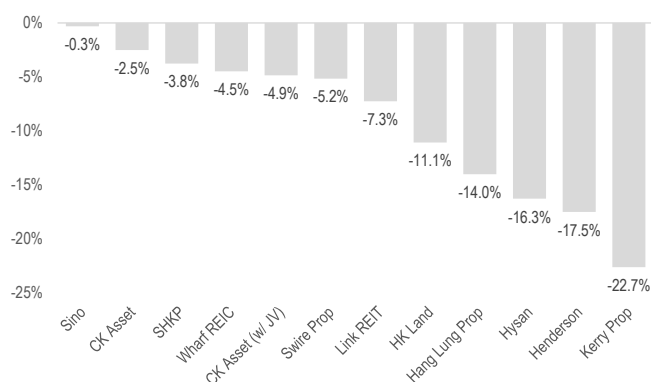
Figure 15: Increase in financing cost for every 100bps increase in HIBOR (considering % of HKD floating debt)



Source: Company data, J.P. Morgan estimates, Bloomberg Finance L.P.

Note: The above does not consider the accounting impact of interest capitalization.

Figure 16: Earnings impact of every 100bps increase in overall effective borrowing cost (without considering floating debt ratio)

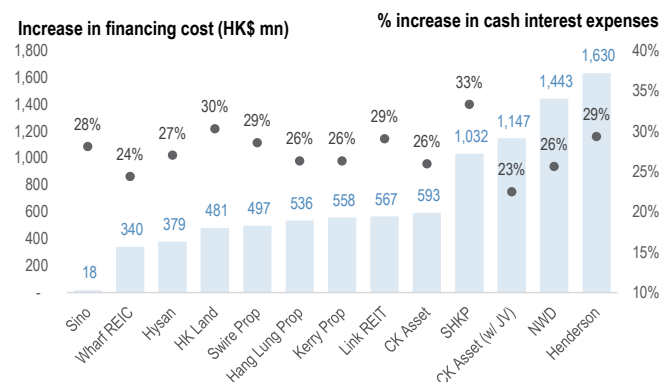


Source: Company data, J.P. Morgan estimates, Bloomberg Finance L.P.

Note:

- The above does not consider the accounting impact of interest capitalization.
- For Kerry Prop & Hysan, 1FYE earnings are consensus estimates per Bloomberg Finance L.P.
- We expect NWD's 1FY earnings to be at a net loss, and thus NWD is not included in this comparison.

Figure 17: Increase in financing cost for every 100bps increase in overall effective borrowing cost (without considering floating debt ratio)



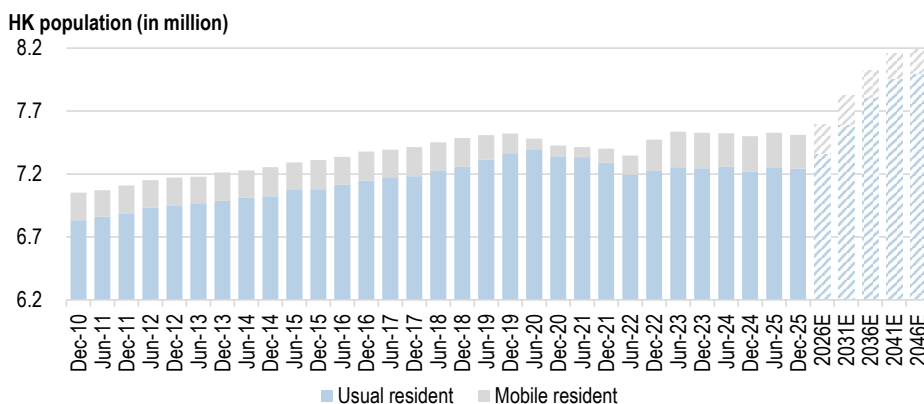
Source: Company data, J.P. Morgan estimates, Bloomberg Finance L.P.

Note: The above does not consider the accounting impact of interest capitalization.

Other supportive factors for HK housing market

- HK usual resident population is projected to grow 0.8% p.a. till 2031E (or up 55-60K p.a.), driven by the immigration of talents from Mainland China & return of Hong Kong locals who previously migrated to another country.

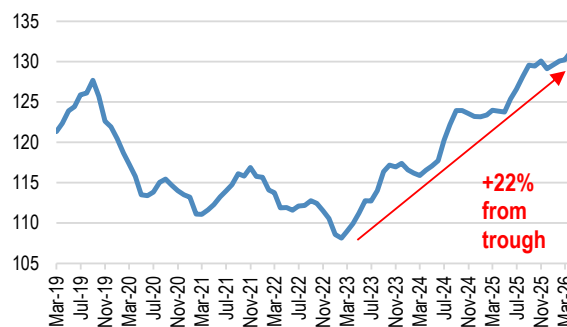
Figure 18: Hong Kong population



Source: Hong Kong Census & Statistics Department

- HK rents have risen 2.8% year-to-date, and as we step into the peak season, the rental index in May saw the strongest M/M growth of 1.3%. We expect the full-year rent growth to be ~5%, driven by a low vacancy rate (<5%).

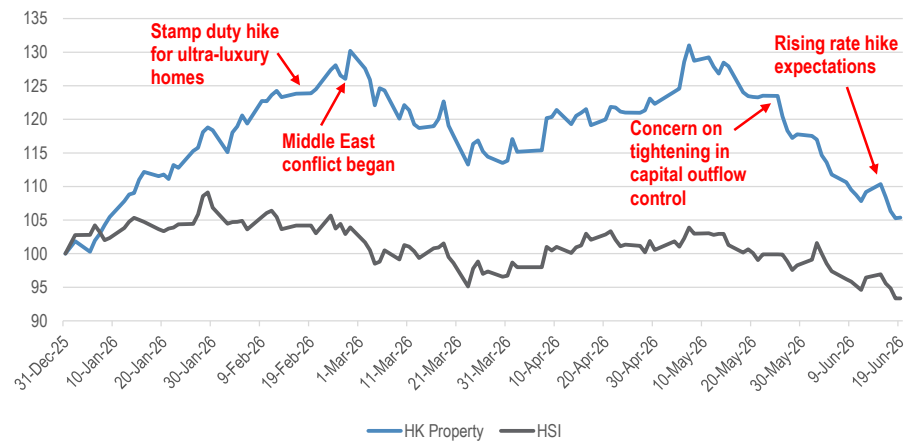
Figure 19: Centaline Rental Index (CRI)



Source: Centaline

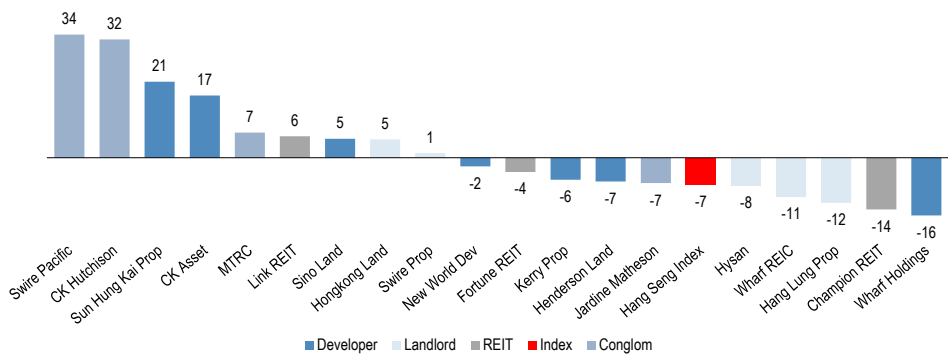
Share price performance

Figure 20: HK Property: Year-to-date share price performance



Source: Bloomberg Finance L.P.

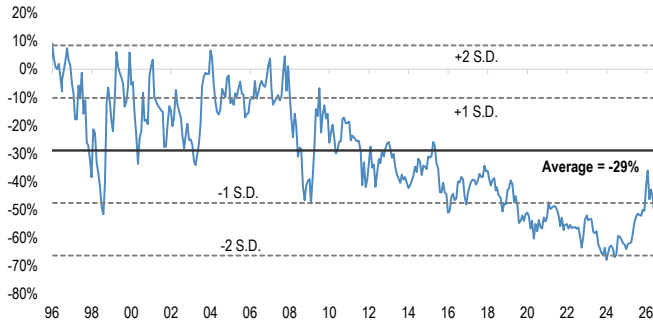
Figure 21: HK Property & Conglomerates - 2026 year-to-date share price performance by company



Source: Bloomberg Finance L.P., as of close of 22 June 2026

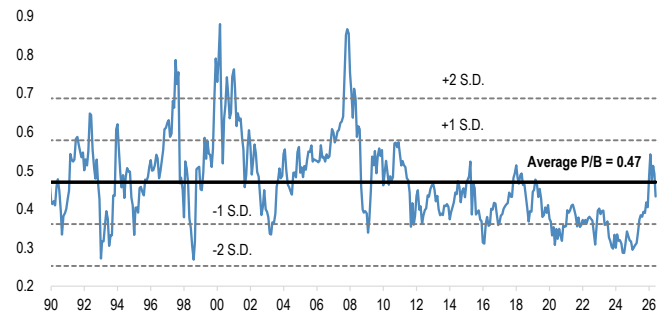
Valuation

Figure 22: Sector NAV discount trend



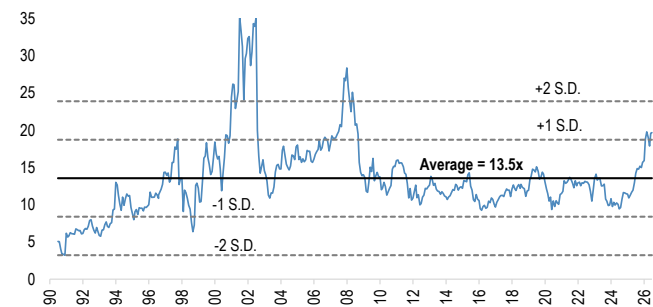
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 24: 12m forward P/B



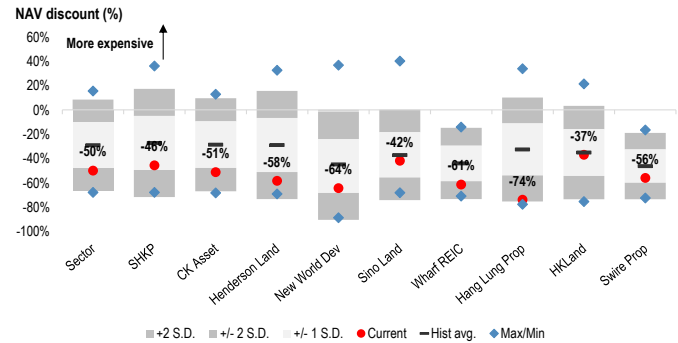
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 26: 12m forward P/E



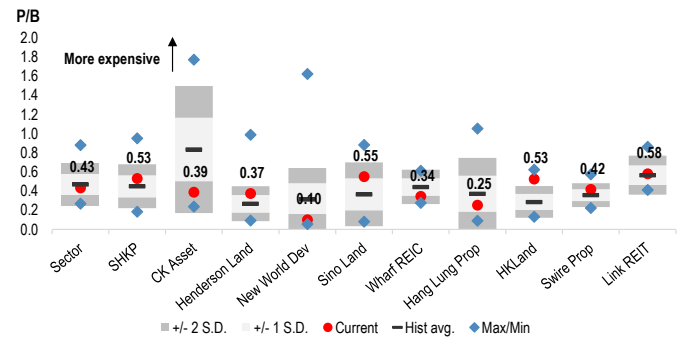
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 23: NAV discount by company



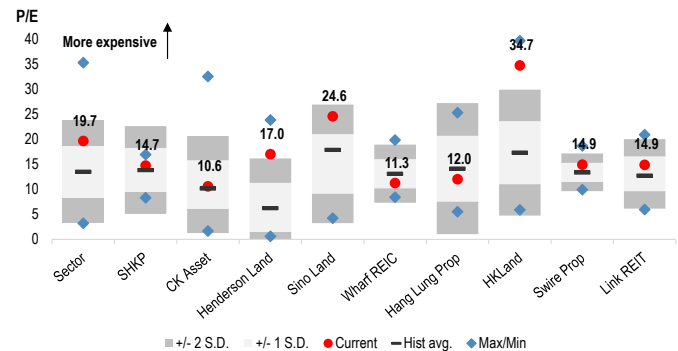
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 25: 12m forward P/B by company



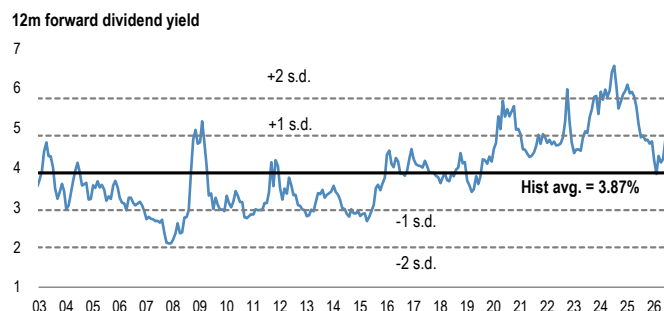
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 27: 12m forward P/E by company



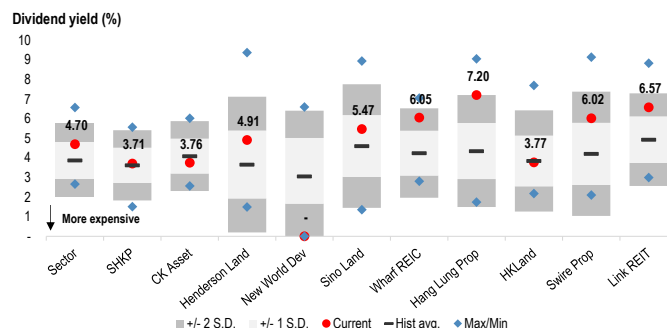
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 28: 12m forward dividend yield



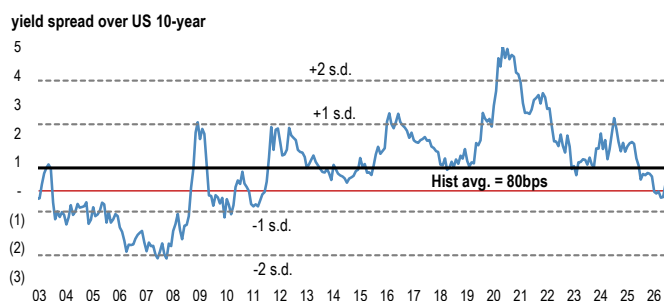
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 29: 12m forward dividend yield by company



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 30: 12m forward dividend yield spread



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Table 3: HK Property Developers - Summary of price target changes

		Last Price		Market Cap	3M ADV	Rating		Price Target	
Company	Ticker	22-Jun-26	US\$ bn	US\$ mn		New	Old	New	Old
Developers									
Sun Hung Kai Prop	0016.HK	113.60	42.0	95.7		OW	OW	140.0	162.0
Henderson Land	0012.HK	25.64	15.8	39.6		N	N	27.0	30.0
CK Asset	1113.HK	44.72	20.0	36.4		OW	OW	52.0	52.0
Sino Land	0083.HK	10.61	13.0	14.2		OW	OW	12.5	14.5
New World Dev	0017.HK	7.10	2.3	6.8		N	N	6.8	8.0

Source: Bloomberg Finance L.P., J.P. Morgan.

Table 4: Hong Kong Property & Conglomerates – Valuation summary

			Last Close (HK\$)	Market Cap US\$M	ADV US\$M	NAV Discount	P/E		Dvd Yield		P/B		Share Price Return				
							1FY (x)	2FY (x)	1FY (%)	2FY (%)	1FY (x)	2FY (x)	5D	YTD	1Y	Peak	
Hong Kong Property																	
Sun Hung Kai Properties	0016.HK	OW	113.60	41,991	95.7	-46%	14.4	13.5	3.5%	3.7%	0.5	0.5	-3%	21%	39%	-23%	
CK Asset	1113.HK	OW	44.72	19,964	36.4	-51%	13.9	13.8	3.7%	3.8%	0.4	0.4	-3%	17%	41%	-14%	
Henderson Land	0012.HK	N	25.64	15,834	39.6	-58%	16.0	13.5	4.9%	4.9%	0.4	0.4	-5%	-6%	-1%	-26%	
Sino Land	0083.HK	OW	10.61	12,974	14.2	-42%	20.8	22.2	5.5%	5.5%	0.6	0.6	-6%	5%	38%	-20%	
New World Development	0017.HK	N	7.10	2,279	6.8	-64%	-10.7	-8.3	0.0%	0.0%	0.1	0.1	-6%	-2%	39%	-89%	
Wharf Holdings	0004.HK	NC	18.14	7,071	13.7	-	12.0	11.5	2.3%	2.3%	0.4	0.4	-6%	-16%	-20%	-41%	
Kerry Properties	0683.HK	NC	18.26	3,380	5.7	-	12.9	6.2	7.4%	7.4%	0.3	0.2	-8%	-6%	3%	-33%	
Developers						55.0	-44%	14.6	13.8	4.0%	4.1%	0.5	0.4	-4%	10%	28%	-24%
Swire Properties	1972.HK	OW	20.52	15,070	10.6	-56%	14.7	13.2	5.9%	6.2%	0.4	0.4	-5%	1%	18%	-22%	
Wharf REIC	1997.HK	N	21.32	8,257	14.9	-61%	10.2	10.3	6.1%	6.0%	0.4	0.4	-5%	-11%	5%	-53%	
HK Land (in US\$)	HKLD.SI	OW	7.09	15,194	23.1	-47%	33.1	31.2	3.7%	3.9%	0.5	0.5	-4%	5%	34%	-21%	
Hang Lung Properties	0101.HK	OW	7.22	4,792	9.9	-74%	11.5	10.7	7.2%	7.2%	0.3	0.3	-6%	-12%	13%	-64%	
Hysan	0014.HK	NC	16.73	2,192	6.3	-	8.1	9.7	6.5%	6.5%	0.3	0.3	-1%	-8%	31%	-42%	
Landlords						15.3	-53%	19.4	18.3	5.3%	5.5%	0.4	0.4	-5%	-2%	21%	-32%
Link REIT	0823.HK	N	35.54	11,707	54.3	-	14.2	14.1	6.9%	7.0%	0.6	0.5	-3%	6%	-8%	-46%	
Fortune REIT	778.HK	NC	4.54	1,191	1.8	-	25.4	25.4	7.6%	7.6%	0.4	0.4	-4%	-4%	3%	-34%	
Champion REIT	2778.HK	NC	2.14	1,675	0.5	-	17.4	17.4	6.5%	6.8%	0.3	0.3	-5%	-14%	12%	-51%	
REITs						43.9	-	15.4	15.4	6.9%	7.0%	0.5	0.5	-3%	3%	-5%	-45%
Hong Kong Property (Overall)						42.9	-43%	16.0	15.2	4.6%	4.7%	0.5	0.4	-4%	6%	23%	-28%
CK Hutchison	0001.HK	OW	68.50	33,466	71.5	-40%	8.9	11.0	4.5%	3.6%	0.4	0.4	-1%	32%	50%	-12%	
Jardine Matheson	JARD.SI	OW	62.32	18,364	26.0	-46%	10.4	9.9	3.9%	4.1%	0.6	0.6	-6%	-7%	39%	-23%	
Swire Pacific	19.HK	NC	81.45	12,745	12.1	-	9.9	9.0	4.9%	5.2%	0.4	0.4	-2%	34%	30%	-11%	
Conglomerates						46.8	-42%	9.5	10.3	4.4%	4.1%	0.5	0.5	-3%	21%	43%	-15%

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: Companies marked "NC" are not under J.P. Morgan coverage; all estimates for such companies are based on consensus estimates from Bloomberg Finance L.P.; As of close of 22 Jun 2026

Overweight

0016.HK, 16 HK

Price (22 Jun 26):HK\$113.60

▼ **Price Target (Dec-26):HK\$140.00**

Prior (Dec-26):HK\$162.00

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}

(852) 2800-8513

karl.chan@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Sun Hung Kai Properties (0016)

Earnings growth to be revived

We lower our price target to HK\$140, based on a wider target NAV discount of 33% (0.25 s.d. below historical mean) to factor in the several overhangs and potential risks, including capital outflow control, rate hike concern & potential prolonged weakness in the stock market.

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	20	12	12	19	12
Growth	41	58	35	87	27
Momentum	16	74	68	53	73
Quality	20	26	28	81	12
Low Vol	22	19	15	6	11
ESGQ	13	19	20	88	20

Price Performance



	YTD	1m	3m	12m
Abs	20.0%	-18.0%	-14.4%	33.7%
Rel	27.3%	-10.9%	-8.4%	33.4%

Company Data

Shares O/S (mn)	2,898
52-week range (HK\$)	148.80-84.15
Market cap (\$ mn)	42,004
Exchange rate	7.84
Free float (%)	34.2%
3M ADV (mn)	5.75
3M ADV (\$ mn)	95.7
Volatility (90 Day)	36
Index	HSI
BBG ANR (Buy Hold Sell)	13 3 0

Key Metrics (FYE Jun)

HK\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	79,721	86,920	77,393	77,698
Adj. EBITDA	32,971	33,092	32,985	34,817
Adj. EBIT	27,914	28,035	27,928	29,760
Adj. net income	21,855	22,862	24,402	25,820
Adj. EPS	7.54	7.89	8.42	8.91
BBG EPS	7.69	7.92	8.68	9.06
Cashflow from operations	46,316	40,018	26,217	27,987
FCFF	33,854	35,383	17,471	19,261
Margins and Growth				
Revenue Growth Y/Y (%)	11.5%	9.0%	(11.0%)	0.4%
EBITDA margin	41.4%	38.1%	42.6%	44.8%
EBITDA Growth Y/Y (%)	3.6%	0.4%	(0.3%)	5.6%
EBIT margin	35.0%	32.3%	36.1%	38.3%
Net margin	27.4%	26.3%	31.5%	33.2%
Adj. EPS growth	0.5%	4.6%	6.7%	5.8%
Ratios				
Adj. tax rate	19.9%	21.5%	17.1%	17.2%
Interest cover	13.3	19.0	21.8	22.6
Net debt/Equity	0.1	0.1	0.1	0.1
Net debt/EBITDA	2.8	2.5	2.4	2.1
ROCE	3.1%	3.0%	3.2%	3.3%
ROE	3.6%	3.7%	3.9%	4.0%
Valuation				
FCFF yield	10.3%	10.7%	5.3%	5.9%
Dividend yield	3.3%	3.5%	3.7%	3.9%
EV/Revenue	4.0	3.5	3.8	3.7
EV/EBITDA	9.8	9.2	8.9	8.1
Adj. P/E	15.1	14.4	13.5	12.7

Summary Investment Thesis and Valuation

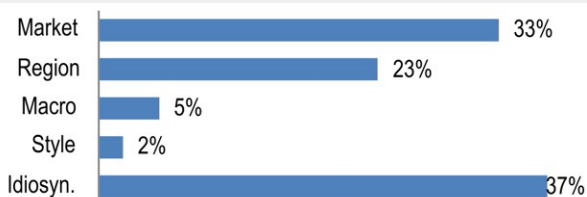
Investment Thesis

SHKP is the best proxy for the Hong Kong housing market, and we believe the bullish view on the HK housing market will continue to drive flows into SHKP. Fundamentally, SHKP's earnings growth is also likely on track to be revived to MSD% growth. As the upcycle is confirmed for the HK housing market, we believe SHKP warrants a valuation premium and we are thus Overweight.

Valuation

Our Dec-26 PT of HK\$140 is based on a 33% discount to NAV (0.25 s.d. below the historical average), which is narrower than peers to take into account SHKP's lower leverage, ample land bank & earnings resilience.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.57	0.57
Region: Hong Kong	0.55	0.59
Macro:		
JPM EM Currency(EMCI) Fixing	0.23	0.25
US 10 Year Yield	-0.08	-0.23
Generic 1st 'CO' Future	0.07	0.16
Quant Styles:		
Size	-0.20	-0.23
LowVol	0.16	0.18
Growth	-0.25	-0.17

Investment Thesis, Valuation and Risks

Sun Hung Kai Properties (0016) (*Overweight; Price Target: HK\$140.00*)

Investment Thesis

SHKP is the best proxy for the Hong Kong housing market, and we believe the bullish view on the HK housing market will continue to drive flows into SHKP. Fundamentally, SHKP's earnings growth is also likely on track to be revived to MSD% growth. As the upcycle is confirmed for the HK housing market, we believe SHKP warrants a valuation premium and we are thus Overweight.

Valuation

Our Dec-26 PT of HK\$140 is based on a 33% discount to NAV (0.25 s.d. below the historical average), which is narrower than peers to take into account SHKP's lower leverage, ample land bank & earnings resilience.

	Dec-26	HK\$/sh	% of GAV
Hong Kong properties			
Agricultural Land	26,000	9.0	3.8%
Property under development			
Lux Residential	45,578	15.7	6.6%
Mass Residential	73,540	25.4	10.6%
	119,117	41.1	17.2%
Property investment			
Lux Residential	29,429	10.2	4.3%
Office	74,989	25.9	10.8%
Retail	195,469	67.5	28.3%
Industrial	9,145	3.2	1.3%
Office under development	17,438	6.0	2.5%
Retail under development	13,990	4.8	2.0%
Car Park	7,068	2.4	1.0%
	347,528	119.9	50.3%
Hotel	22,884	7.9	3.3%
HK Properties total	515,529	177.9	75%
Mainland China properties			
Development property	17,397	6.0	2.5%
Property investment			
Lux Residential	4,233	1.5	0.6%
Office	48,888	16.9	7.1%
Retail	59,351	20.5	8.6%
	112,471	38.8	16.3%
Hotel	4,740	1.6	0.7%
Mainland China properties total	134,608	46.5	19%
Singapore properties			
ION Orchard (Retail)	7,104	2.5	1.0%
Singapore properties total	7,104	2.5	1.0%
Listed investments			
Listed investment total	17,963	6.2	2.6%
Other business (5x P/E blended)	16,362	5.6	2.4%
Gross Asset Value	691,566	238.7	100%
Net Debt	(83,646)	(28.9)	
Associated Debt	(2,335)	(0.8)	
NAV	605,585	209	
Number of shares (MM)	2,898		
NAV per share	209		

Source: Company data, J.P. Morgan estimates.

Note: We apply DCF for property development (assume 10% home price growth in FY26, and 5% p.a. for all subsequent years), and cap rates (ranging from 3% to 9%, depending on project location) for property investment. For listed subsidiaries, we refer to their market cap.

Risks to Rating and Price Target

Upside risks: (1) stronger-than-expected property sales and rental income; (2) recovery in Hong Kong's home prices; (3) higher-than-expected dividend payout.

Downside risks: (1) weaker-than-expected deterioration in the Hong Kong residential market and home prices; (2) worse-than-expected dividend.

Sun Hung Kai Properties (0016): Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	71,506	79,721	86,920	77,393	77,698	Cash flow from operating activities	44,315	46,316	40,018	26,217	27,987
COGS	-	-	-	-	-	o/w Depreciation & amortization	4,805	5,057	5,057	5,057	5,057
Gross profit	-	-	-	-	-	o/w Changes in working capital	22,058	21,846	15,200	(300)	0
SG&A	-	-	-	-	-	Cash flow from investing activities	(29,412)	(15,888)	(7,000)	(11,000)	(11,000)
Adj. EBITDA	31,838	32,971	33,092	32,985	34,817	o/w Capital expenditure	(30,021)	(17,656)	(8,000)	(10,000)	(10,000)
D&A	(4,805)	(5,057)	(5,057)	(5,057)	(5,057)	as % of sales	42.0%	22.1%	9.2%	12.9%	12.9%
Adj. EBIT	27,033	27,914	28,035	27,928	29,760	Cash flow from financing activities	(13,109)	(29,796)	(26,431)	(12,201)	(12,910)
Net Interest	(3,567)	(2,485)	(1,738)	(1,513)	(1,539)	o/w Dividends paid	(14,170)	(11,346)	(11,431)	(12,201)	(12,910)
Adj. PBT	26,652	28,060	29,844	30,080	31,818	o/w Shares issued/(repurchased)	(17)	(5)	0	0	0
Tax	(4,331)	(5,582)	(6,402)	(5,143)	(5,466)	o/w Net debt issued/(repaid)	2,118	(17,588)	(15,000)	0	0
Minority Interest	(582)	(623)	(579)	(534)	(532)	Net change in cash	1,794	632	6,587	3,016	4,077
Adj. Net Income	21,739	21,855	22,862	24,402	25,820	Adj. Free cash flow to firm	18,041	33,854	35,383	17,471	19,261
Reported EPS	7.50	7.54	7.89	8.42	8.91	y/y Growth	43.8%	87.6%	4.5%	(50.6%)	10.2%
Adj. EPS	7.50	7.54	7.89	8.42	8.91						
DPS	3.75	3.75	3.94	4.21	4.46						
Payout ratio	50.0%	49.7%	50.0%	50.0%	50.0%						
Shares outstanding	2,898	2,898	2,898	2,898	2,898						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	16,221	16,919	23,506	26,522	30,599	Gross margin	-	-	-	-	-
Accounts receivable	17,617	20,477	20,477	20,477	20,477	EBITDA margin	44.5%	41.4%	38.1%	42.6%	44.8%
Inventories	214,077	197,452	177,452	177,452	177,452	EBIT margin	37.8%	35.0%	32.3%	36.1%	38.3%
Other current assets	748	864	747	747	747	Net profit margin	30.4%	27.4%	26.3%	31.5%	33.2%
Current assets	248,663	235,712	222,182	225,198	229,275	ROE	3.6%	3.6%	3.7%	3.9%	4.0%
PP&E	462,952	471,573	479,573	489,573	499,573	ROA	2.7%	2.7%	2.8%	2.9%	3.0%
LT investments	-	-	-	-	-	ROCE	3.1%	3.1%	3.0%	3.2%	3.3%
Other non current assets	106,479	109,608	115,942	122,563	129,486	SG&A/Sales	-	-	-	-	-
Total assets	818,094	816,893	817,697	837,335	858,333	Net debt/Equity	0.2	0.1	0.1	0.1	0.1
Short term borrowings	10,498	14,384	15,384	14,384	13,384	Net debt/EBITDA	3.5	2.8	2.5	2.4	2.1
Payables	43,638	46,712	41,912	41,612	41,312	Sales/Assets (x)	0.1	0.1	0.1	0.1	0.1
Other short term liabilities	7,876	8,996	17,587	18,166	18,699	Assets/Equity (x)	1.3	1.3	1.3	1.3	1.3
Current liabilities	62,012	70,092	74,883	74,162	73,395	Interest cover (x)	8.9	13.3	19.0	21.8	22.6
Long-term debt	116,589	95,833	89,920	89,920	89,920	Operating leverage	(586.7%)	28.4%	4.8%	3.5%	1660.4%
Other long term liabilities	28,422	28,594	28,594	28,594	28,594	Tax rate	16.3%	19.9%	21.5%	17.1%	17.2%
Total liabilities	207,023	194,519	193,397	192,676	191,909	Revenue y/y Growth	0.4%	11.5%	9.0%	(11.0%)	0.4%
Shareholders' equity	606,717	617,851	619,777	640,135	661,902	EBITDA y/y Growth	(2.1%)	3.6%	0.4%	(0.3%)	5.6%
Minority interests	4,354	4,523	4,523	4,523	4,523	EPS y/y Growth	(9.0%)	0.5%	4.6%	6.7%	5.8%
Total liabilities & equity	818,094	816,893	817,697	837,335	858,333						
BVPS	209.37	213.22	213.88	220.91	228.42	Valuation					
y/y Growth	0.8%	1.8%	0.3%	3.3%	3.4%		FY24A	FY25A	FY26E	FY27E	FY28E
RNAV/Share	-	209.04	-	-	-	P/E (x)	15.1	15.1	14.4	13.5	12.7
Net debt/(cash)	110,866	93,298	81,798	77,782	72,705	P/BV (x)	0.5	0.5	0.5	0.5	0.5
						EV/EBITDA (x)	10.8	9.8	9.2	8.9	8.1
						Dividend Yield	3.3%	3.3%	3.5%	3.7%	3.9%

Source: Company reports and J.P. Morgan estimates.

Note: HK\$ in millions (except per-share data). Fiscal year ends Jun. o/w - out of which

Overweight

1113.HK, 1113 HK
 Price (22 Jun 26):HK\$44.72
 Price Target (Dec-26):HK\$52.00

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}
 (852) 2800-8513
 karl.chan@jpmorgan.com
 J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
 Morgan Broking (Hong Kong) Limited

CK Asset Holdings Ltd (1113)

Soon to be net cash with potential special dividend

There is no change to our price target / earnings estimates.

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	14	11	14	15	10
Growth	77	90	85	60	71
Momentum	21	66	72	77	73
Quality	77	68	71	47	38
Low Vol	11	10	17	10	27
ESGQ	95	86	92	14	94

Price Performance



	YTD	1m	3m	12m
Abs	13.7%	-12.6%	-2.1%	35.7%
Rel	21.0%	-5.4%	3.9%	35.4%

Company Data

Shares O/S (mn)	3,500
52-week range (HK\$)	52.35-32.75
Market cap (\$ mn)	19,971
Exchange rate	7.84
Free float (%)	42.1%
3M ADV (mn)	6.05
3M ADV (\$ mn)	36.4
Volatility (90 Day)	28
Index	HSI
BBG ANR (Buy Hold Sell)	8 2 0

Key Metrics (FYE Dec)

HK\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	57,935	61,883	49,981	59,192
Adj. EBITDA	21,417	17,728	18,010	20,992
Adj. EBIT	19,218	15,529	15,811	18,793
Adj. net income	11,946	11,264	11,303	13,535
Adj. EPS	3.41	3.22	3.23	3.87
BBG EPS	3.92	4.02	3.83	4.36
Cashflow from operations	7,531	3,312	4,002	6,287
FCFF	5,727	1,508	2,198	4,483
Margins and Growth				
Revenue Growth Y/Y (%)	27.2%	6.8%	(19.2%)	18.4%
EBITDA margin	37.0%	28.6%	36.0%	35.5%
EBITDA Growth Y/Y (%)	9.9%	(17.2%)	1.6%	16.6%
EBIT margin	33.2%	25.1%	31.6%	31.7%
Net margin	20.6%	18.2%	22.6%	22.9%
Adj. EPS growth	2.6%	(5.7%)	0.3%	19.7%
Ratios				
Adj. tax rate	30.8%	13.0%	21.3%	22.3%
Interest cover	41.9	NM	NM	NM
Net debt/Equity	0.0	0.1	0.1	0.1
Net debt/EBITDA	0.4	1.8	2.2	2.2
ROCE	2.9%	3.0%	2.8%	3.3%
ROE	3.0%	2.8%	2.9%	3.4%
Valuation				
FCFF yield	3.7%	1.0%	1.4%	2.9%
Dividend yield	4.0%	3.7%	3.8%	4.5%
EV/Revenue	2.8	2.9	3.7	3.2
EV/EBITDA	7.5	10.2	10.4	9.1
Adj. P/E	13.1	13.9	13.8	11.6

Summary Investment Thesis and Valuation

Investment Thesis

We are Overweight on CKA as we believe the company will offer relative outperformance amid the recent macro uncertainties, with its soon-to-be net cash position and low earnings sensitivity to a rate hike scenario. Special dividend from the disposal of UKPN is also a near-term upside risk.

Valuation

Our Dec-26 PT of HK\$52 is based on a 43% discount to NAV, which is 0.75 S.D. below the historical average.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.63	0.65
Region: Hong Kong	0.71	0.67
Macro:		
JPM EM Currency(EMCI) Fixing	0.12	0.28
JP Morgan GBI-EM Global Div	0.08	0.26
US 10 Year Yield	-0.15	-0.23
Quant Styles:		
Growth	-0.23	-0.18
LowVol	0.29	0.13
Size	-0.16	-0.08

Investment Thesis, Valuation and Risks

CK Asset Holdings Ltd (1113) *(Overweight; Price Target: HK\$52.00)*

Investment Thesis

We are Overweight on CKA as we believe the company will offer relative outperformance amid the recent macro uncertainties, with its soon-to-be net cash position and low earnings sensitivity to a rate hike scenario. Special dividend from the disposal of UKPN is also a near-term upside risk.

Valuation

Our Dec-26 PT of HK\$52 is based on a 43% discount to NAV, which is 0.75 S.D. below the historical average.

	Dec-26		
	HK\$MM	HK\$/sh	% of GAV
Property Development			
Hong Kong			
Luxury residential	9,990	2.9	3.2%
Mass residential	56,725	16.2	17.9%
Agricultural Landbank/Others	7,870	2.2	2.5%
Hong Kong Dev	74,585	21.3	23.5%
Mainland China			
Res/Com	12,549	3.6	4.0%
Mainland China Dev	12,549	3.6	4.0%
Other Overseas Dev			
SG/UK/Others	15,492	4.4	4.9%
Total Property Development	102,626	29.3	32.4%
Investment Property			
Hong Kong			
Residential	1,314	0.4	0.4%
Office	30,516	8.7	9.6%
Retail	27,517	7.9	8.7%
Industrial / Others	25,837	7.4	8.2%
Hong Kong Inv Pty	85,184	24.3	26.9%
Mainland China			
Office	607	0.2	0.2%
Retail	4,320	1.2	1.4%
Mainland China Inv Pty	4,927	1.4	1.6%
Overseas			
UK	9,694	2.8	3.1%
Total Investment Property	99,805	28.5	31.5%
Hotel			
HK	34,638	9.9	10.9%
Mainland China	2,342	0.7	0.7%
Total Hotel	36,980	10.6	11.7%
Investments			
Fortune REIT (778 HK)	2,644	0.8	0.8%
Prosperity REIT (808 HK)	398	0.1	0.1%
Hui Xian REIT (87001 HK)	1,094	0.3	0.3%
ARA Asset Management (ARA SP) - privatized	867	0.2	0.3%
CK William JV	12,595	3.6	4.0%
Reliance Home JV	10,082	2.9	3.2%
Ista JV	16,309	4.7	5.1%
Greene King (6x EV/EBITDA)	31,417	9.0	9.9%
LT Loan Receivables	2,085	0.6	0.7%
Total Investments	77,491	22.1	24.5%
Gross Asset Value	316,902	90.5	100.0%
Gross debt (incl. perps)	(59,289)	(16.9)	
Less Cash & Short Term Deposits	63,894	18.3	
Net debt	4,605	1.3	
NAV	321,507	91.9	

Source: J.P. Morgan estimates.

Note: We apply DCF for property development (assume 10% home price growth in FY26, and 5% p.a. for all subsequent years), and cap rates (ranging from 3% to 9%, depending on project location) for property investment. For listed subsidiaries, we use market value; for JVs, we use book values.

Risks to Rating and Price Target

Key upside risks: (1) a very strong recovery in the Hong Kong residential market; (2) better-than-expected rental income; (3) better-than-expected income from infrastructure; (4) better-than-expected dividend.

Key downside risks: (1) worse-than-expected dividend; (2) worse-than-expected Hong Kong property sales; (3) worse-than-expected rental income; (4) worse-than-expected income from infrastructure.

CK Asset Holdings Ltd (1113): Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	45,529	57,935	61,883	49,981	59,192	Cash flow from operating activities	14,639	7,531	3,312	4,002	6,287
COGS	-	-	-	-	-	o/w Depreciation & amortization	1,926	2,199	2,199	2,199	2,199
Gross profit	-	-	-	-	-	o/w Changes in working capital	(151)	(7,000)	(10,000)	(10,000)	(10,000)
SG&A	-	-	-	-	-						
Adj. EBITDA	19,492	21,417	17,728	18,010	20,992	Cash flow from investing activities	(7,751)	(1,804)	(1,804)	(1,804)	(1,804)
D&A	(1,926)	(2,199)	(2,199)	(2,199)	(2,199)	o/w Capital expenditure	(5,282)	0	0	0	0
Adj. EBIT	17,566	19,218	15,529	15,811	18,793	as % of sales	11.6%	0.0%	0.0%	0.0%	0.0%
Net Interest	(1,461)	(512)	176	855	1,004						
Adj. PBT	16,322	16,062	23,151	14,702	17,833	Cash flow from financing activities	(13,300)	(12,655)	(10,932)	(10,562)	(11,588)
Tax	(2,588)	(4,954)	(3,014)	(3,127)	(3,972)	o/w Dividends paid	(7,107)	(6,491)	(6,340)	(6,159)	(7,376)
Minority Interest	(77)	(261)	(473)	(272)	(326)	o/w Shares issued/(repurchased)	(1,551)	0	0	0	0
Adj. Net Income	11,688	11,946	11,264	11,303	13,535	o/w Net debt issued/(repaid)	(848)	(1,356)	0	0	0
Reported EPS	3.89	3.10	5.62	3.23	3.87	Net change in cash	(6,412)	(6,928)	(9,424)	(8,364)	(7,105)
Adj. EPS	3.33	3.41	3.22	3.23	3.87						
						Adj. Free cash flow to firm	6,888	5,727	1,508	2,198	4,483
DPS	1.74	1.78	1.68	1.68	2.01	y/y Growth	(197.6%)	(16.9%)	(73.7%)	45.7%	104.0%
Payout ratio	44.8%	57.4%	29.8%	52.1%	52.1%						
Shares outstanding	3,514	3,500	3,500	3,500	3,500						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	36,069	41,743	19,717	11,353	4,248	Gross margin	-	-	-	-	-
Accounts receivable	10,072	9,564	9,564	9,564	9,564	EBITDA margin	42.8%	37.0%	28.6%	36.0%	35.5%
Inventories	129,776	122,799	130,799	138,799	146,799	EBIT margin	38.6%	33.2%	25.1%	31.6%	31.7%
Other current assets	0	0	0	0	0	Net profit margin	25.7%	20.6%	18.2%	22.6%	22.9%
Current assets	175,917	174,106	160,080	159,716	160,611						
PP&E	220,917	224,562	222,363	220,164	217,965	ROE	3.0%	3.0%	2.8%	2.9%	3.4%
LT investments	11,485	9,759	9,759	9,759	9,759	ROA	2.3%	2.4%	2.2%	2.3%	2.7%
Other non current assets	104,947	110,830	112,647	114,465	116,284	ROCE	3.3%	2.9%	3.0%	2.8%	3.3%
Total assets	501,781	509,498	495,090	494,345	494,860	SG&A/Sales	-	-	-	-	-
						Net debt/Equity	0.0	0.0	0.1	0.1	0.1
Short term borrowings	11,139	11,643	11,643	11,643	11,643	Net debt/EBITDA	0.9	0.4	1.8	2.2	2.2
Payables	29,479	26,240	24,240	22,240	20,240						
Other short term liabilities	714	1,189	1,189	1,189	1,189	Sales/Assets (x)	0.1	0.1	0.1	0.1	0.1
Current liabilities	41,332	39,072	37,072	35,072	33,072	Assets/Equity (x)	1.3	1.3	1.3	1.3	1.3
Long-term debt	41,577	39,717	39,717	39,717	39,717	Interest cover (x)	13.3	41.9	NM	NM	NM
Other long term liabilities	18,672	22,028	22,028	22,028	22,028	Operating leverage	234.4%	34.5%	(281.7%)	(9.4%)	102.3%
Total liabilities	101,581	100,817	98,817	96,817	94,817	Tax rate	15.9%	30.8%	13.0%	21.3%	22.3%
Shareholders' equity	395,604	404,371	391,963	393,218	395,733	Revenue y/y Growth	(3.6%)	27.2%	6.8%	(19.2%)	18.4%
Minority interests	4,596	4,310	4,310	4,310	4,310	EBITDA y/y Growth	(7.7%)	9.9%	(17.2%)	1.6%	16.6%
Total liabilities & equity	501,781	509,498	495,090	494,345	494,860	EPS y/y Growth	(15.3%)	2.6%	(5.7%)	0.3%	19.7%
BVPS	113.04	115.54	112.00	112.36	113.07	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
y/y Growth	1.9%	2.2%	(3.1%)	0.3%	0.6%	P/E (x)	13.4	13.1	13.9	13.8	11.6
						P/BV (x)	0.4	0.4	0.4	0.4	0.4
RNAV/Share	-	-	91.86	-	-	EV/EBITDA (x)	8.6	7.5	10.2	10.4	9.1
Net debt/(cash)	16,647	9,617	31,643	40,007	47,112	Dividend Yield	3.9%	4.0%	3.7%	3.8%	4.5%

Source: Company reports and J.P. Morgan estimates.

Note: HK\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Neutral

0012.HK, 12 HK

Price (22 Jun 26):HK\$25.64

▼ **Price Target (Dec-26):HK\$27.00**

Prior (Dec-26):HK\$30.00

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}

(852) 2800-8513

karl.chan@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	43	35	33	33	26
Growth	76	86	76	70	82
Momentum	73	76	83	55	72
Quality	80	76	69	65	30
Low Vol	19	23	23	20	8
ESGQ	92	97	98	95	90

Henderson Land Development (0012)

A potential victim of rate hikes

We are Neutral on Henderson, and lower the price target to HK\$27, based on a wider target NAV discount of 57% (1.25 s.d. below mean), as we factor in several overhangs and potential risks: (1) capital outflow control; (2) rate hike concerns; (3) potential weakness of the stock market.

Price Performance



	YTD	1m	3m	12m
Abs	-8.9%	-21.0%	-17.7%	-5.2%
Rel	-1.6%	-13.8%	-11.7%	-5.5%

Company Data

Shares O/S (mn)	4,841
52-week range (HK\$)	35.66-25.00
Market cap (\$ mn)	15,839
Exchange rate	7.84
Free float (%)	27.1%
3M ADV (mn)	10.16
3M ADV (\$ mn)	39.7
Volatility (90 Day)	30
Index	HSI
BBG ANR (Buy Hold Sell)	8 4 0

Key Metrics (FYE Dec)

HK\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	25,741	25,495	28,379	25,570
Adj. EBITDA	6,524	9,419	10,779	11,417
Adj. EBIT	6,058	8,906	10,216	10,796
Adj. net income	6,063	7,761	9,217	10,299
Adj. EPS	1.25	1.60	1.90	2.13
BBG EPS	1.59	1.59	1.84	2.36
Cashflow from operations	11,324	13,539	14,632	16,444
FCFF	9,628	14,634	15,831	17,507
Margins and Growth				
Revenue Growth Y/Y (%)	1.9%	(1.0%)	11.3%	(9.9%)
EBITDA margin	25.3%	36.9%	38.0%	44.6%
EBITDA Growth Y/Y (%)	(39.2%)	44.4%	14.4%	5.9%
EBIT margin	23.5%	34.9%	36.0%	42.2%
Net margin	23.6%	30.4%	32.5%	40.3%
Adj. EPS growth	(38.0%)	28.0%	18.8%	11.7%
Ratios				
Adj. tax rate	3.7%	12.2%	12.5%	12.3%
Interest cover	3.3	3.9	4.3	4.8
Net debt/Equity	0.4	0.4	0.3	0.3
Net debt/EBITDA	21.6	13.7	10.9	9.0
ROCE	1.2%	1.6%	1.8%	1.9%
ROE	1.9%	2.4%	2.7%	2.9%
Valuation				
FCFF yield	7.8%	11.8%	12.8%	14.1%
Dividend yield	4.9%	4.9%	4.9%	4.9%
EV/Revenue	5.8	5.1	3.9	3.5
EV/EBITDA	22.9	13.9	10.4	7.9
Adj. P/E	20.5	16.0	13.5	12.1

Summary Investment Thesis and Valuation

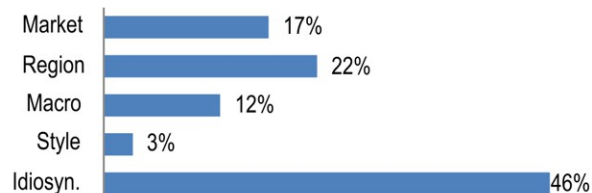
Investment Thesis

We are Neutral on Henderson Land as we believe its earnings, due to its higher leverage, would be more sensitive to a rate hike scenario (not our base case though). Its dividend yield is also not attractive compared to some peers which have a much higher DPS certainty (e.g. Sino Land). However, we believe Henderson is still on track to revive earnings growth, and if expectations for a rate cut revive, we could turn more positive on Henderson Land again.

Valuation

Our Dec-26 PT of HK\$27 is based on a 57% discount to NAV, which is 1 S.D. below its historical average (1.25 s.d. below mean), which is wider than peers to factor in its higher leverage (thus higher earnings sensitivity to rate hikes).

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.38	0.42
Region: Hong Kong	0.62	0.52
Macro:		
JPM EM Currency(EMCI) Fixing	0.10	0.32
US 10 Year Yield	0.13	-0.19
JP Morgan GBI-EM Global Div	-0.04	0.18
Quant Styles:		
LowVol	0.20	0.25
DivYld	0.28	0.24
Value	0.21	0.24

Investment Thesis, Valuation and Risks

Henderson Land Development (0012) (Neutral; Price Target: HK\$27.00)

Investment Thesis

We are Neutral on Henderson Land as we believe its earnings, due to its higher leverage, would be more sensitive to a rate hike scenario (not our base case though). Its dividend yield is also not attractive compared to some peers which have a much higher DPS certainty (e.g. Sino Land). However, we believe Henderson is still on track to revive earnings growth, and if expectations for a rate cut revive, we could turn more positive on Henderson Land again.

Valuation

Our Dec-26 PT of HK\$27 is based on a 57% discount to NAV, which is 1 S.D. below its historical average (1.25 s.d. below mean), which is wider than peers to factor in its higher leverage (thus higher earnings sensitivity to rate hikes).

	Dec-26 HK\$MM	HK\$/sh	% of GAV
Hong Kong Property Development			
Lux Res	22,258	4.6	5%
Mass Res	33,733	7.0	8%
Confirmed Projects	55,991	11.6	13%
Urban redevelopment with 100% ownership	20,000	4.1	5%
Others	6,500	1.3	1%
Agricultural land	40,500	8.4	9%
Total HK Property Development	122,991	25.4	28%
Hong Kong Investment Property			
Office	119,308	24.6	27%
Retail	73,466	15.2	17%
Industrial	511	0.1	0%
Residential	8,242	1.7	2%
Carparks	8,994	1.9	2%
Hotels	1,570	0.3	0%
HK Investment Property	212,091	43.8	48%
Mainland China Property			
Mainland China DP	14,920	3.1	3%
Mainland China IP - existing	34,708	7.2	8%
Mainland China IP - under development	389	0.1	0%
Mainland China Property	50,017	10.3	11%
Total Property	378,599	78.2	86%
Non-property Investments			
Hong Kong & China Gas (0003.HK)	54,866	11.3	13%
Hong Kong Ferry (0050.HK)	601	0.1	0%
Miramar Hotel (0071.HK)	3,671	0.8	1%
Henderson Investment (0097.HK)	361	0.1	0%
Sunlight REIT (0435.HK)	790	0.2	0%
Non-property Investments	60,290	12.5	14%
GAV	438,888	90.7	100%
Total debt (incl. shareholder loans)	(163,035)	(33.7)	
Less: Cash	22,198	4.6	
Net debt	(140,837)	(29.1)	
NAV	298,051	61.6	
No. of shares	4,841		
NAV per Share	61.6		

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Note: We apply DCF for property development (assume 10% home price growth in FY26, and 5% p.a. for all subsequent years), and cap rates (ranging from 3% to 9%, depending on project location) for property investment. For listed subsidiaries, we use market value.

Risks to Rating and Price Target

Downside risks include: (1) worse-than-expected deterioration in Hong Kong's residential market; and (2) a lower-than-expected dividend.

Upside risks include: (1) faster-than-expected farmland conversion; (2) higher-than-expected dividend; (3) stronger-than-expected recovery in Hong Kong's residential market.

Overweight

0083.HK, 83 HK

Price (22 Jun 26):HK\$10.61

▼ **Price Target (Dec-26):HK\$12.50**

Prior (Dec-26):HK\$14.50

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}

(852) 2800-8513

karl.chan@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	86	74	66	53	31
Growth	69	65	69	83	91
Momentum	40	77	65	51	80
Quality	37	64	66	85	81
Low Vol	7	6	5	15	15
ESGQ	6	28	17	3	21

Sino Land (0083)

The relative safe haven

We lower our price target to HK\$12.5 based on a wider target NAV discount of 32% (0.5 s.d. above historical mean), as we factor in several overhangs and potential risks: (1) capital outflow control; (2) rate hike concerns; (3) potential weakness of the stock market.

Price Performance



	YTD	1m	3m	12m
Abs	3.8%	-13.8%	-8.5%	30.0%
Rel	11.1%	-6.6%	-2.5%	29.7%

Company Data

Shares O/S (mn)	9,586
52-week range (HK\$)	13.30-8.10
Market cap (\$ mn)	12,978
Exchange rate	7.84
Free float (%)	40.2%
3M ADV (mn)	9.46
3M ADV (\$ mn)	14.2
Volatility (90 Day)	27
Index	HSI
BBG ANR (Buy Hold Sell)	10 2 0

Key Metrics (FYE Jun)

HK\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	8,183	9,208	10,901	9,283
Adj. EBITDA	2,809	3,267	2,607	2,685
Adj. EBIT	2,651	3,093	2,416	2,474
Adj. net income	5,109	4,702	4,523	4,954
Adj. EPS	0.57	0.51	0.48	0.52
BBG EPS	0.57	0.51	0.51	0.54
Cashflow from operations	6,288	3,197	5,217	5,246
FCFF	5,264	2,697	4,717	4,746
Margins and Growth				
Revenue Growth Y/Y (%)	(6.6%)	12.5%	18.4%	(14.8%)
EBITDA margin	34.3%	35.5%	23.9%	28.9%
EBITDA Growth Y/Y (%)	18.5%	16.3%	(20.2%)	3.0%
EBIT margin	32.4%	33.6%	22.2%	26.7%
Net margin	62.4%	51.1%	41.5%	53.4%
Adj. EPS growth	(6.7%)	(11.1%)	(6.6%)	9.5%
Ratios				
Adj. tax rate	8.1%	13.0%	13.0%	13.0%
Interest cover	-	-	-	-
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	1.4%	1.6%	1.2%	1.2%
ROE	3.0%	2.8%	2.6%	2.9%
Valuation				
FCFF yield	5.6%	2.8%	4.7%	4.7%
Dividend yield	5.5%	5.5%	5.5%	5.5%
EV/Revenue	1.9	1.9	1.7	2.2
EV/EBITDA	5.5	5.4	7.2	7.7
Adj. P/E	18.5	20.8	22.2	20.3

Summary Investment Thesis and Valuation

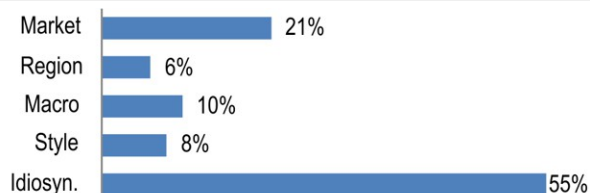
Investment Thesis

We are Overweight on Sino Land, because: 1) it has the highest dividend visibility (at least flat) among key developers, per our estimates; 2) with net cash, it is the best equipped to expand land bank; and 3) dividend yield is one of the highest in the sector.

Valuation

Our Dec-26 PT of HK\$12.5 is based on a 32% discount (0.5 s.d. above historical average) to our NAV estimates, which is narrower than peers to factor in Sino Land's net cash position.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.41	0.45
Region: Hong Kong	0.17	0.29

Macro:

JPM Forecast Revision EM	-0.45	-0.26
Markit EM Composite PMI SA	0.29	0.25
JP Morgan GBI-EM Global Div	0.18	0.18

Quant Styles:

Size	-0.40	-0.32
Momentum	-0.27	-0.27
Growth	-0.34	-0.24

Investment Thesis, Valuation and Risks

Sino Land (0083) (Overweight; Price Target: HK\$12.50)

Investment Thesis

We are Overweight on Sino Land, because: 1) it has the highest dividend visibility (at least flat) among key developers, per our estimates; 2) with net cash, it is the best equipped to expand land bank; and 3) dividend yield is one of the highest in the sector.

Valuation

Our Dec-26 PT of HK\$12.5 is based on a 32% discount (0.5 s.d. above historical average) to our NAV estimates, which is narrower than peers to factor in Sino Land's net cash position.

	Dec-26 HK\$MM	HK\$/sh	% of GAV
Hong Kong properties			
Property under development			
Lux Residential	9,910	1.0	8.2%
Mass Residential	24,018	2.5	19.8%
	33,928	3.6	28.0%
Property investment			
Lux Residential	5,052	0.5	4.2%
Office	15,170	1.6	12.5%
Retail	30,982	3.3	25.6%
Industrial	5,669	0.6	4.7%
Car Park	1,043	0.1	0.9%
	57,916	6.1	47.8%
Hotel	6,548	0.7	5.4%
HK Properties total	98,392	10.4	81.2%
Mainland China properties			
Development properties	1,900	0.2	1.6%
Property investment	5,589	0.6	4.6%
Mainland China properties total	7,489	0.8	6.2%
Singapore / Australia properties			
Development properties	1,615	0.2	1.3%
Investment properties	3,616	0.4	3.0%
Hotel	4,922	0.5	4.1%
Singapore / Australia properties total	10,154	1.1	8.4%
Listed investment	1,578	0.2	1.3%
Loans receivables	3,619	0.4	3.0%
	5,197	0.5	4.3%
Gross Asset Value	121,231	12.8	100%
Net Cash / (Debt)	51,402		
NAV	172,633		
Number of shares (MM)	9,484		
NAV per share	18.2		

Source: J.P. Morgan estimates.

Note: We apply DCF for property development (assume 10% home price growth in FY26/7, and 5% p.a. for all subsequent years), and cap rates (ranging from 3% to 9%, depending on project location) for property investment.

Risks to Rating and Price Target

Upside risks: 1) higher-than-expected dividend; and 2) value-accretive acquisitions.
Downside risks: 1) lower-than-expected dividend; and 2) value-dilutive acquisitions.

Sino Land (0083): Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	8,765	8,183	9,208	10,901	9,283	Cash flow from operating activities	3,666	6,288	3,197	5,217	5,246
COGS	-	-	-	-	-	o/w Depreciation & amortization	160	158	174	191	210
Gross profit	-	-	-	-	-	o/w Changes in working capital	(1,160)	1,051	(2,679)	(532)	(1,084)
SG&A	-	-	-	-	-						
Adj. EBITDA	2,372	2,809	3,267	2,607	2,685	Cash flow from investing activities	(9,430)	4,684	(700)	(1,000)	(1,000)
D&A	(160)	(158)	(174)	(191)	(210)	o/w Capital expenditure	(531)	(1,024)	(500)	(500)	(500)
Adj. EBIT	2,212	2,651	3,093	2,416	2,474	as % of sales	6.1%	12.5%	5.4%	4.6%	5.4%
Net Interest	2,340	2,258	1,867	1,833	1,818						
Adj. PBT	5,532	5,358	5,478	5,273	5,881	Cash flow from financing activities	(1,346)	(791)	(1,292)	(1,328)	(1,328)
Tax	(509)	(433)	(712)	(686)	(765)	o/w Dividends paid	(1,027)	(1,157)	(1,192)	(1,228)	(1,228)
Minority Interest	156	184	(64)	(64)	(163)	o/w Shares issued/(repurchased)	0	0	0	0	0
Adj. Net Income	5,179	5,109	4,702	4,523	4,954	o/w Net debt issued/(repaid)	(1,132)	967	(100)	(100)	(100)
Reported EPS	0.62	0.57	0.51	0.48	0.52	Net change in cash	(7,110)	10,181	1,205	2,889	2,917
Adj. EPS	0.62	0.57	0.51	0.48	0.52						
						Adj. Free cash flow to firm	3,135	5,264	2,697	4,717	4,746
DPS	0.58	0.58	0.58	0.58	0.58	y/y Growth	128.7%	67.9%	(48.8%)	74.9%	0.6%
Payout ratio	94.1%	100.9%	113.5%	121.6%	111.0%						
Shares outstanding	8,402	8,887	9,205	9,484	9,484						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	46,417	51,260	52,465	55,354	58,272	Gross margin	-	-	-	-	-
Accounts receivable	2,236	1,916	1,916	1,916	1,916	EBITDA margin	27.1%	34.3%	35.5%	23.9%	28.9%
Inventories	15,810	14,588	14,767	12,800	11,384	EBIT margin	25.2%	32.4%	33.6%	22.2%	26.7%
Other current assets	5,972	5,231	5,231	5,231	5,231	Net profit margin	59.1%	62.4%	51.1%	41.5%	53.4%
Current assets	70,435	72,995	74,380	75,301	76,802						
PP&E	69,193	69,128	72,468	75,986	79,694	ROE	3.2%	3.0%	2.8%	2.6%	2.9%
LT investments	-	-	-	-	-	ROA	2.9%	2.8%	2.6%	2.5%	2.7%
Other non current assets	40,716	41,490	37,336	32,929	27,589	ROCE	1.2%	1.4%	1.6%	1.2%	1.2%
Total assets	180,344	183,613	184,183	184,216	184,085	SG&A/Sales	-	-	-	-	-
						Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	0	1,799	899	899	899	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	4,391	4,098	4,098	4,098	4,098						
Other short term liabilities	3,427	3,855	3,526	3,526	3,526	Sales/Assets (x)	0.0	0.0	0.1	0.1	0.1
Current liabilities	7,818	9,752	8,523	8,523	8,523	Assets/Equity (x)	1.1	1.1	1.1	1.1	1.1
Long-term debt	832	0	800	700	600	Interest cover (x)	-	-	-	-	-
Other long term liabilities	5,378	3,964	2,783	2,779	2,775	Operating leverage	186.8%	(299.5%)	133.0%	(119.0%)	(16.2%)
Total liabilities	14,028	13,716	12,106	12,002	11,898	Tax rate	9.2%	8.1%	13.0%	13.0%	13.0%
Shareholders' equity	165,790	169,397	171,577	171,714	171,688	Revenue y/y Growth	(26.2%)	(6.6%)	12.5%	18.4%	(14.8%)
Minority interests	526	500	500	500	500	EBITDA y/y Growth	(47.7%)	18.5%	16.3%	(20.2%)	3.0%
Total liabilities & equity	180,344	183,613	184,183	184,216	184,085	EPS y/y Growth	(21.0%)	(6.7%)	(11.1%)	(6.6%)	9.5%
BVPS	19.49	18.82	18.38	18.40	18.39	Valuation					
y/y Growth	(3.5%)	(3.4%)	(2.3%)	0.1%	(0.0%)		FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	17.2	18.5	20.8	22.2	20.3
RNAV/Share	-	-	18.04	-	-	P/BV (x)	0.5	0.6	0.6	0.6	0.6
Net debt/(cash)	(45,585)	(49,461)	(50,766)	(53,755)	(56,773)	EV/EBITDA (x)	8.5	5.5	5.4	7.2	7.7
						Dividend Yield	5.5%	5.5%	5.5%	5.5%	5.5%

Source: Company reports and J.P. Morgan estimates.

Note: HK\$ in millions (except per-share data). Fiscal year ends Jun. o/w - out of which

Neutral

0017.HK, 17 HK

Price (22 Jun 26):HK\$7.10

▼ **Price Target (Dec-26):HK\$6.80**

Prior (Dec-26):HK\$8.00

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}

(852) 2800-8513

karl.chan@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	56	82	44	15	20
Growth	99	97	97	95	60
Momentum	77	99	100	94	74
Quality	95	91	91	87	65
Low Vol	78	76	77	32	20

New World Development (0017)

Easing of liquidity stress remains unproven

We lower our price target to HK\$6.8 based on a wider target NAV discount of 67% (the steepest among HK developers), as we factor in several overhangs and potential risks: (1) capital outflow control; (2) rate hike concerns; (3) potential weakness of the stock market.

Price Performance



	YTD	1m	3m	12m
Abs	-2.3%	-17.4%	-19.9%	39.2%
Rel	5.0%	-10.3%	-13.9%	38.9%

Company Data

Shares O/S (mn)	2,517
52-week range (HK\$)	12.45-4.98
Market cap (\$ mn)	2,280
Exchange rate	7.84
Free float (%)	54.4%
3M ADV (mn)	6.33
3M ADV (\$ mn)	6.8
Volatility (90 Day)	46
Index	HSI
BBG ANR (Buy Hold Sell)	1 6 5

Key Metrics (FYE Jun)

HK\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	27,681	17,224	22,561	17,111
Adj. EBITDA	7,164	6,199	6,093	4,047
Adj. EBIT	5,919	4,829	4,586	2,390
Adj. net income	(2,002)	(1,673)	(2,157)	(2,567)
Adj. EPS	(0.80)	(0.66)	(0.86)	(1.02)
BBG EPS	(1.75)	(0.46)	0.24	0.31
Cashflow from operations	4,799	(7,815)	(7,346)	(8,752)
FCFF	11,965	(1,982)	(2,535)	(30,744)
Margins and Growth				
Revenue Growth Y/Y (%)	(22.6%)	(37.8%)	31.0%	(24.2%)
EBITDA margin	25.9%	36.0%	27.0%	23.6%
EBITDA Growth Y/Y (%)	(14.0%)	(13.5%)	(1.7%)	(33.6%)
EBIT margin	21.4%	28.0%	20.3%	14.0%
Net margin	(7.2%)	(9.7%)	(9.6%)	(15.0%)
Adj. EPS growth	(62.9%)	(16.4%)	28.9%	19.0%
Ratios				
Adj. tax rate	(18.2%)	62.9%	90.6%	921.9%
Interest cover	1.5	1.7	1.8	1.3
Net debt/Equity	0.7	0.9	0.9	1.0
Net debt/EBITDA	17.5	23.1	25.2	39.9
ROCE	2.1%	0.6%	0.1%	(5.9%)
ROE	(1.2%)	(1.0%)	(1.4%)	(1.7%)
Valuation				
FCFF yield	67.0%	(11.1%)	(14.2%)	(172.1%)
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/Revenue	5.5	9.8	7.9	10.9
EV/EBITDA	21.1	27.2	29.4	46.3
Adj. P/E	NM	NM	NM	NM

Summary Investment Thesis and Valuation

Investment Thesis

As some of investors' biggest fears (e.g., deferral of coupon payments on perpetuals, liability management exercises) have already happened, we believe most of the negatives are behind us, and the default risk has come down with the successful bank refinancing and liability management exercise. That said, fundamentally, there is still no solid proof of easing in liquidity stress. Thus, we are Neutral, but could turn more positive if NWD exhibits solid proof of easing in liquidity stress.

Valuation

Our price target of HK\$6.8 is based on a target 67% NAV discount. Our target NAV discount is the lowest among all HK property developers as we factor in NWD's continual liquidity stress and higher leverage.

Performance Drivers

Market	31%
Region	13%
Macro	6%
Style	0%
Idiosyn.	50%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.63	0.55
Region: Hong Kong	0.38	0.42
Macro:		
JPM Global Equity Sentiment	-0.14	-0.19
US 10 Year Yield	0.14	-0.17
HSI Volatility Index	0.23	0.13
Quant Styles:		
Growth	-0.25	-0.20
Quality	-0.08	0.18
Value	0.13	0.15

Investment Thesis, Valuation and Risks

New World Development (0017) (Neutral; Price Target: HK\$6.80)

Investment Thesis

As some of investors' biggest fears (e.g., deferral of coupon payments on perpetuals, liability management exercises) have already happened, we believe most of the negatives are behind us, and the default risk has come down with the successful bank refinancing and liability management exercise. That said, fundamentally, there is still no solid proof of easing in liquidity stress. Thus, we are Neutral, but could turn more positive if NWD exhibits solid proof of easing in liquidity stress.

Valuation

Our price target of HK\$6.8 is based on a target 67% NAV discount. Our target NAV discount is the lowest among all HK property developers as we factor in NWD's continual liquidity stress and higher leverage.

New World Development - NAV breakdown

	Dec-26 HK\$MM	HK\$/sh	% of GAV
Hong Kong Development Properties			
Luxury Residential	22,830	9.07	11%
Mass Residential	16,320	6.48	8%
Office/Industrial	359	0.14	0%
	39,509	15.70	20%
Hong Kong Investment Properties			
Luxury Residential	5,755	2.29	3%
Office	22,467	8.93	11%
Retail	49,840	19.80	25%
Industrial and others	1,549	0.62	1%
	79,611	31.63	40%
Agricultural land	14,576	5.79	7%
Hotels	19,913	7.91	10%
Hong Kong Total	153,609	61.04	77%
Mainland China Development Properties			
Residential	19,248	7.65	10%
Mainland China Investment Properties			
Luxury Residential	1,388	0.55	1%
Office	1,823	0.72	1%
Retail	22,631	8.99	11%
Hotel	927	0.37	0%
Mainland China Total	46,017	18.29	23%
Others			
New World Department Store	417	0.17	0%
Others	417	0.17	0%
Gross asset value	200,043	79.49	100%
Net Debt	(122,722)	(48.76)	
Perpetual securities	(27,546)	(10.95)	
Net asset value	49,776	19.78	

Source: Company data, J.P. Morgan estimates.

Risks to Rating and Price Target

Key upside risks to our rating and price target include: 1) better-than-expected deleveraging process; 2) sooner-than-expected proof of eased liquidity stress; 3) value-accretive asset disposals; and 4) higher-than-expected dividend.

Key downside risks include: 1) worse-than-expected liquidity stress; and 2) a lack of family support.

New World Development (0017): Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	35,782	27,681	17,224	22,561	17,111	Cash flow from operating activities	1,466	4,799	(7,815)	(7,346)	(8,752)
COGS	-	-	-	-	-	o/w Depreciation & amortization	1,954	1,245	1,370	1,506	1,657
Gross profit	-	-	-	-	-	o/w Changes in working capital	2,576	8,587	(5,759)	(5,831)	(5,900)
SG&A	-	-	-	-	-						
Adj. EBITDA	8,329	7,164	6,199	6,093	4,047	Cash flow from investing activities	(3,580)	1,586	4,500	4,500	4,500
D&A	(1,954)	(1,245)	(1,370)	(1,506)	(1,657)	o/w Capital expenditure	(6,979)	(3,852)	(5,500)	(5,500)	(5,500)
Adj. EBIT	6,375	5,919	4,829	4,586	2,390	as % of sales	19.5%	13.9%	31.9%	24.4%	32.1%
Net Interest	(4,275)	(4,720)	(3,597)	(3,303)	(3,223)						
Adj. PBT	(4,748)	(13,835)	1,918	1,266	65	Cash flow from financing activities	(22,868)	(8,404)	1,462	1,411	3,528
Tax	(5,062)	(2,521)	(1,207)	(1,147)	(597)	o/w Dividends paid	(5,869)	(178)	(178)	(178)	(178)
Minority Interest	(1,996)	55	(2,383)	(2,276)	(2,034)	o/w Shares issued/(repurchased)	0	0	0	0	0
Adj. Net Income	(5,397)	(2,002)	(1,673)	(2,157)	(2,567)	o/w Net debt issued/(repaid)	(17,023)	(8,099)	1,768	1,717	3,834
Reported EPS	(2.14)	(0.80)	(0.66)	(0.86)	(1.02)	Net change in cash	(24,983)	(2,019)	(1,853)	(1,434)	(723)
Adj. EPS	(2.14)	(0.80)	(0.66)	(0.86)	(1.02)						
						Adj. Free cash flow to firm	15,110	11,965	(1,982)	(2,535)	(30,744)
DPS	0.20	0.00	0.00	0.00	0.00	y/y Growth	(27.2%)	(20.8%)	(116.6%)	27.9%	1112.8%
Payout ratio	NM	0.0%	0.0%	0.0%	0.0%						
Shares outstanding	2,517	2,517	2,517	2,517	2,517						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	27,990	25,857	22,052	21,003	20,280	Gross margin	-	-	-	-	-
Accounts receivable	15,276	12,266	11,266	10,266	9,266	EBITDA margin	23.3%	25.9%	36.0%	27.0%	23.6%
Inventories	71,969	66,256	64,825	63,466	62,176	EBIT margin	17.8%	21.4%	28.0%	20.3%	14.0%
Other current assets	1,019	643	643	643	643	Net profit margin	(15.1%)	(7.2%)	(9.7%)	(9.6%)	(15.0%)
Current assets	116,254	105,022	98,786	95,378	92,365						
PP&E	224,780	224,818	224,818	224,818	224,818	ROE	(2.8%)	(1.2%)	(1.0%)	(1.4%)	(1.7%)
LT investments	-	-	-	-	-	ROA	(1.0%)	(0.5%)	(0.4%)	(0.5%)	(0.6%)
Other non current assets	104,124	90,426	99,377	109,799	118,038	ROCE	3.6%	2.1%	0.6%	0.1%	(5.9%)
Total assets	445,158	420,265	422,981	429,995	435,221	SG&A/Sales	-	-	-	-	-
						Net debt/Equity	0.7	0.7	0.9	0.9	1.0
Short term borrowings	42,813	7,650	7,316	8,003	9,536	Net debt/EBITDA	15.5	17.5	23.1	25.2	39.9
Payables	-	-	-	-	-						
Other short term liabilities	50,447	49,996	52,005	54,114	56,329	Sales/Assets (x)	0.1	0.1	0.0	0.1	0.0
Current liabilities	93,260	57,646	59,321	62,117	65,865	Assets/Equity (x)	2.8	2.5	2.6	2.7	2.8
Long-term debt	114,438	143,942	157,871	166,246	172,291	Interest cover (x)	1.9	1.5	1.7	1.8	1.3
Other long term liabilities	48,851	47,118	38,403	38,403	38,403	Operating leverage	75.3%	31.6%	48.8%	(16.2%)	198.3%
Total liabilities	256,549	248,706	255,595	266,765	276,558	Tax rate	(106.6%)	(18.2%)	62.9%	90.6%	921.9%
Shareholders' equity	179,832	163,716	159,543	155,387	150,820	Revenue y/y Growth	(34.4%)	(22.6%)	(37.8%)	31.0%	(24.2%)
Minority interests	8,776	7,843	7,843	7,843	7,843	EBITDA y/y Growth	(28.9%)	(14.0%)	(13.5%)	(1.7%)	(33.6%)
Total liabilities & equity	445,158	420,265	422,981	429,995	435,221	EPS y/y Growth	165.6%	(62.9%)	(16.4%)	28.9%	19.0%
BVPS	71.46	65.05	63.40	61.74	59.93						
y/y Growth	(9.8%)	(9.0%)	(2.5%)	(2.6%)	(2.9%)	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	NM	NM	NM	NM	NM
RNAV/Share	-	-	19.78	-	-	P/BV (x)	0.1	0.1	0.1	0.1	0.1
Net debt/(cash)	129,261	125,735	143,134	153,245	161,547	EV/EBITDA (x)	18.7	21.1	27.2	29.4	46.3
						Dividend Yield	2.8%	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.

Note: HK\$ in millions (except per-share data). Fiscal year ends Jun. o/w - out of which

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Sun Hung Kai Properties (0016) (0016.HK, 16 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
24-Oct-23	N	81.50	80
29-Feb-24	N	78.00	72
30-Jul-24	N	69.90	68
06-Sep-24	N	75.15	70
01-Apr-25	N	73.90	73
15-Jul-25	N	89.40	92
21-Jan-26	N	110.20	109
22-Feb-26	OW	135.70	162

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 16, 2000. All share prices are as of market close on the previous business day.

CK Asset Holdings Ltd (1113) (1113.HK, 1113 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
24-Oct-23	OW	39.25	45
22-Mar-24	N	36.80	34.5
09-Apr-24	N	32.45	32
01-Apr-25	N	31.45	31
15-Jul-25	N	35.05	33
15-Aug-25	N	38.00	36
21-Jan-26	N	43.34	41
22-Feb-26	N	46.80	48.5
31-Mar-26	OW	43.78	52

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 03, 2015. All share prices are as of market close on the previous business day.

Henderson Land Development (0012) (0012.HK, 12 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
24-Oct-23	N	20.55	19.5
22-Mar-24	N	23.00	23
09-Apr-24	OW	22.70	26.5
22-Aug-24	OW	21.65	25
15-Jul-25	OW	26.00	31
21-Jan-26	OW	31.12	33
22-Feb-26	OW	33.68	39
24-Mar-26	OW	30.02	35
31-Mar-26	N	29.10	30

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Mar 21, 2001. All share prices are as of market close on the previous business day.

Sino Land (0083) (0083.HK, 83 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
24-Oct-23	OW	8.60	10
28-Aug-25	OW	9.26	11
21-Jan-26	OW	11.29	12.5
22-Feb-26	OW	12.76	14.5

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 04, 2000. All share prices are as of market close on the previous business day.

New World Development (0017) (0017.HK, 17 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
24-Oct-23	UW	14.84	11
01-Mar-24	UW	9.87	8.9
09-Apr-24	UW	8.61	7.5
30-Jul-24	UW	7.31	6.5
13-Sep-24	UW	6.34	5.6
21-Feb-25	UW	4.16	3.7
28-Sep-25	UW	7.84	4.3
21-Jan-26	N	9.90	9.5
22-Feb-26	N	10.76	10.7
01-Mar-26	N	10.86	11
31-Mar-26	N	8.05	8

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 13, 2000. All share prices are as of market close on the previous business day.

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